InFinance
Organização Estudantil de Finanças | Insper

CSN

Capital Solutions | Project Levatio | Liability Management

InFinance – May 2026

Manager: Filipe Guimarães

Antonio Vilarinho | Lucas Lolli | Vitor Goyanna

Partners: Jugis Capital | Lefosse

Presentation Agenda

1. CSN’s at-a-Glance

2. Financial Distress Situation

3. Capital Advisory Plan

4. CSN’s Post Plan

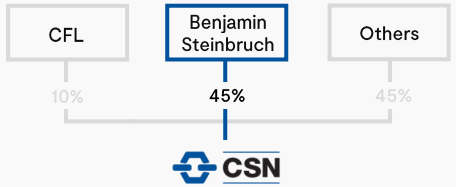
Appendix

Companhia Siderúrgica Nacional at-a-Glance

One of Brazil's largest industrial conglomerates, with fully integrated operations across steel, mining, cement, logistics and energy

CSN was founded in 1941 by Getúlio Vargas in Volta Redonda (RJ) and is Brazil's only integrated flat steel producer, controlling the full production chain from blast furnace to finished product. Privatized in 1993, it evolved into a diversified group across five segments: steel, mining (CMIN), cement, logistics, and energy, with vertical integration spanning the Casa de Pedra mine, MRS railway, and Itaguaí Port.

Shareholders

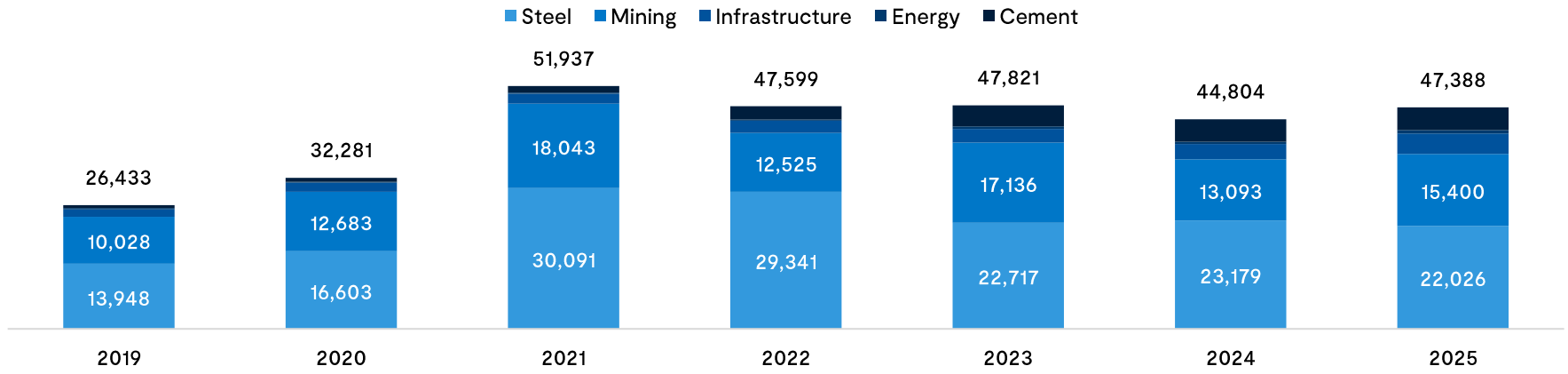


Key Financials (R$ mn)

2025	
Market Cap.	8,800
Net Revenue	44,789
EBITDA (Adjusted)	11,927
Cash and Equivalents	15,064
Net Debt / EBITDA	3.2x

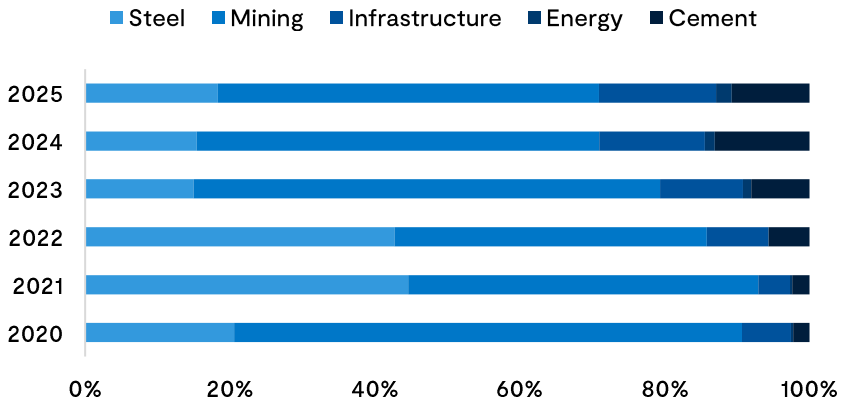
Balanced exposure to steel, mining, cement and infrastructure businesses supporting diversified revenue streams

Revenue Breakdown (R$ mn)



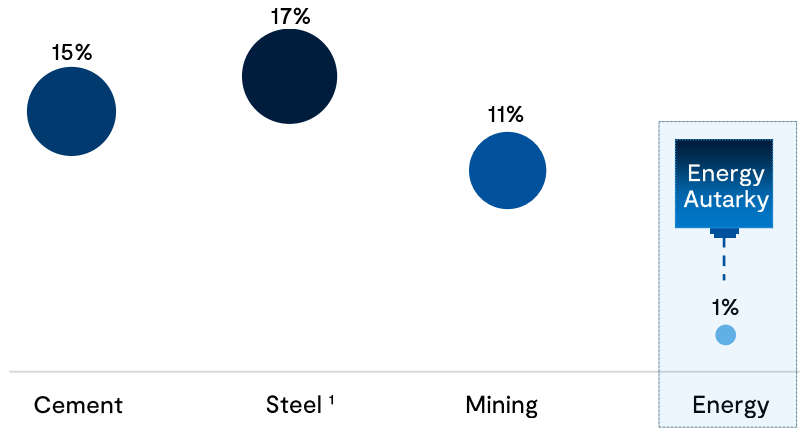
Mining is the group's primary cash generation engine

EBITDA Breakdown (%)



Scale and relevance across Brazil's industrial backbone

Brazil Market Share per Sector (%)



Sources: CSN, XP Note: (1) Market share for flat steel only

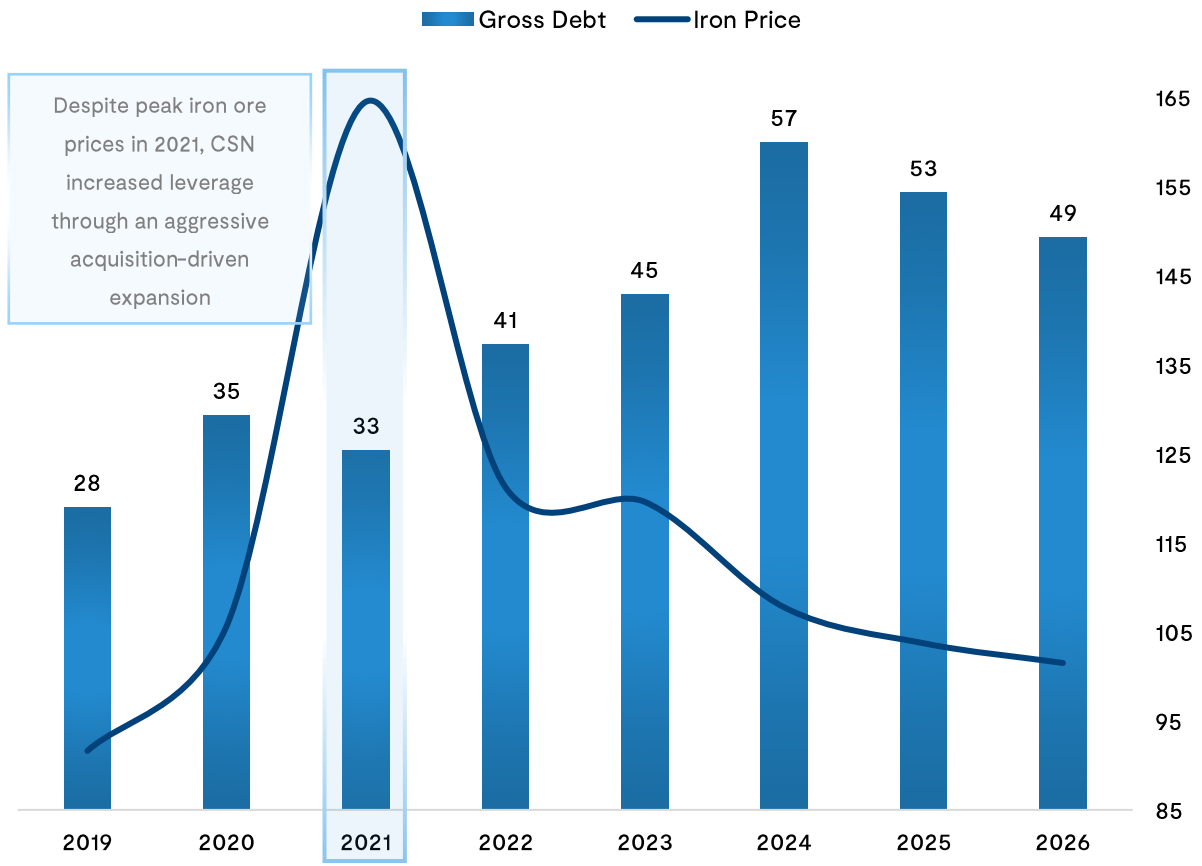
A Missed Deleveraging Window

The 2021 iron ore supercycle offered a rare deleveraging opportunity, CSN instead pursued acquisitions, compounding leverage and financial stress

Restructuring Period | **Aggressive Growth Momentum** | **Financial Distress Period**

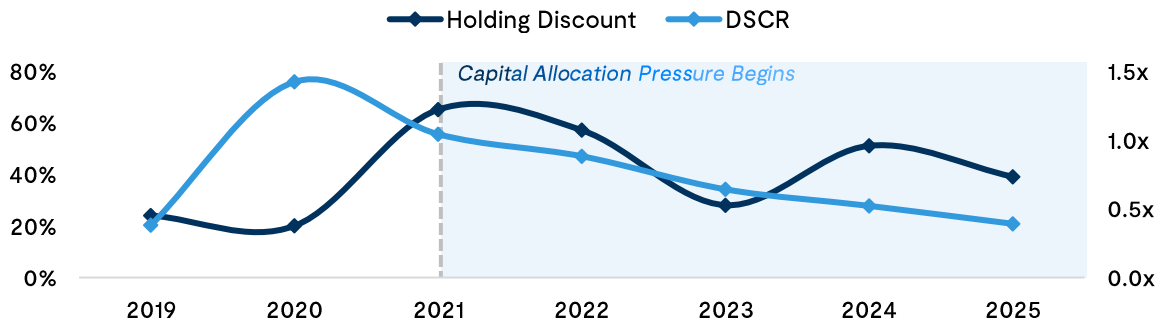
CSN leveraged up instead of deleveraging during the 2021 supercycle

Iron Ore Price (US$/t) and Gross Debt (R$ bn)



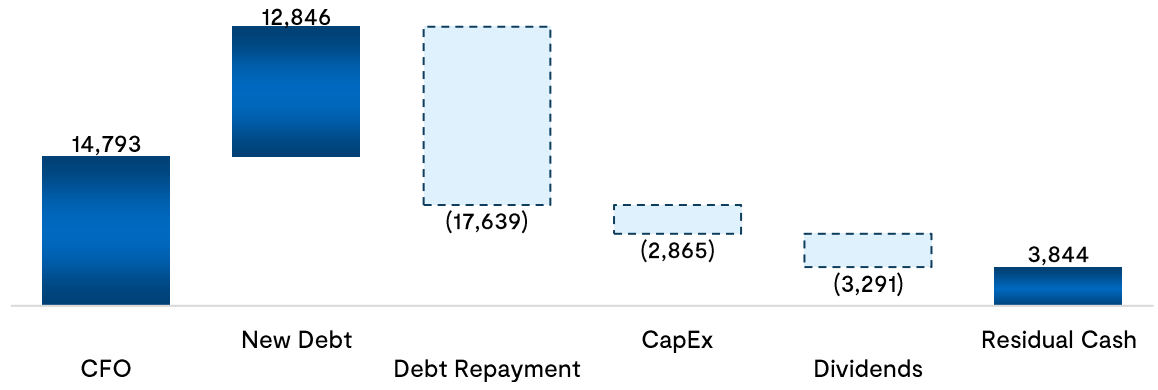
Deteriorating DSCR and holding discount signal growing financial stress

Holding Discount (%) and DSCR (x)



Debt refinancing dominated 2021 capital allocation, constraining deleveraging

2021 Capital Allocation Breakdown (R$ mn)



Sources: CSN, XP

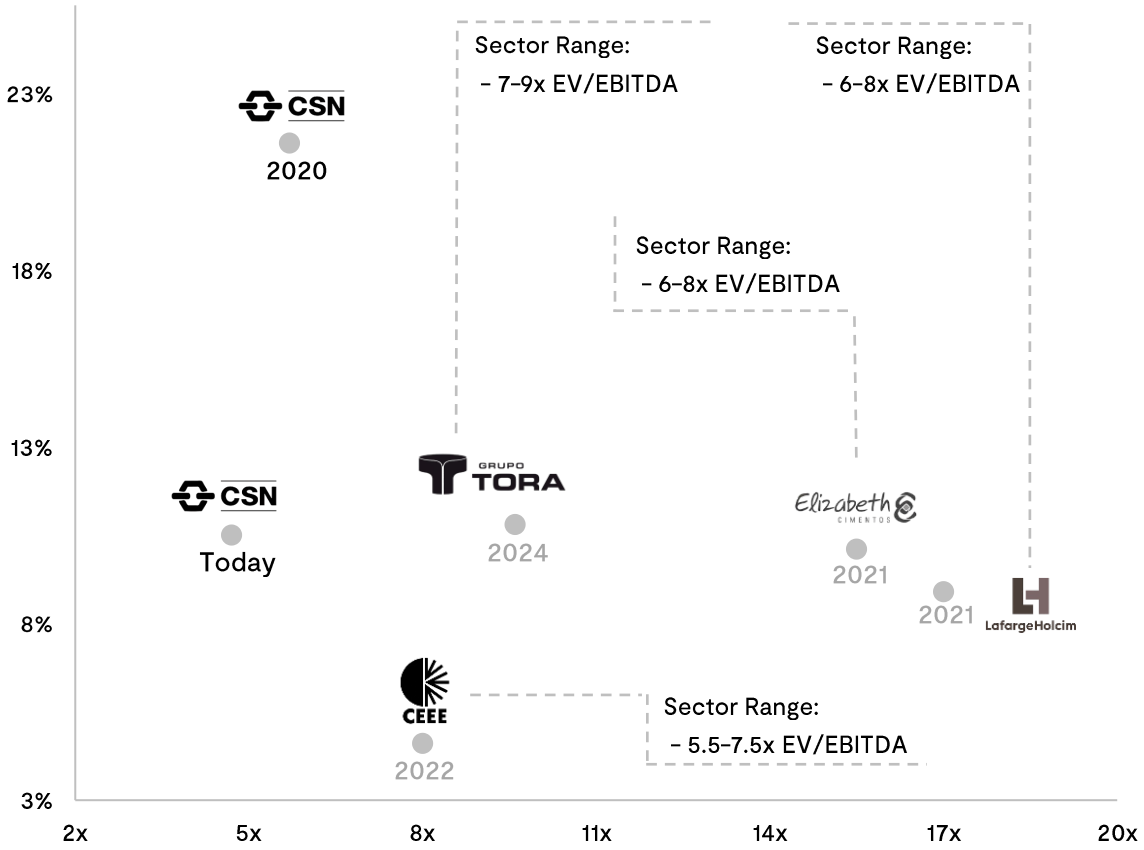
Growth at Any Cost

CSN pursued acquisitions, high capex and shareholder distributions, reversing the deleveraging achieved during the iron ore boom

Restructuring Period	Aggressive Growth Momentum	Financial Distress Period

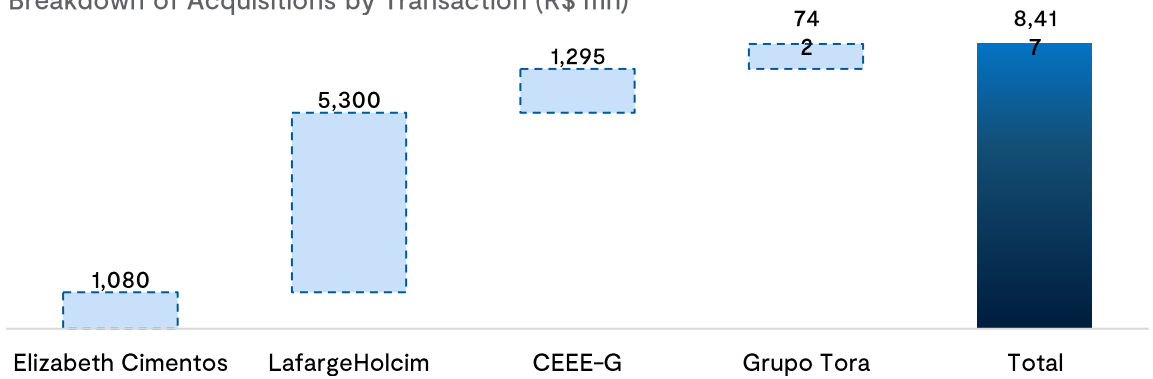
CSN overpaid for acquisitions that failed to generate adequate returns

Acquisition EV/EBITDA (x) and Acquisition Date ROIC (%)



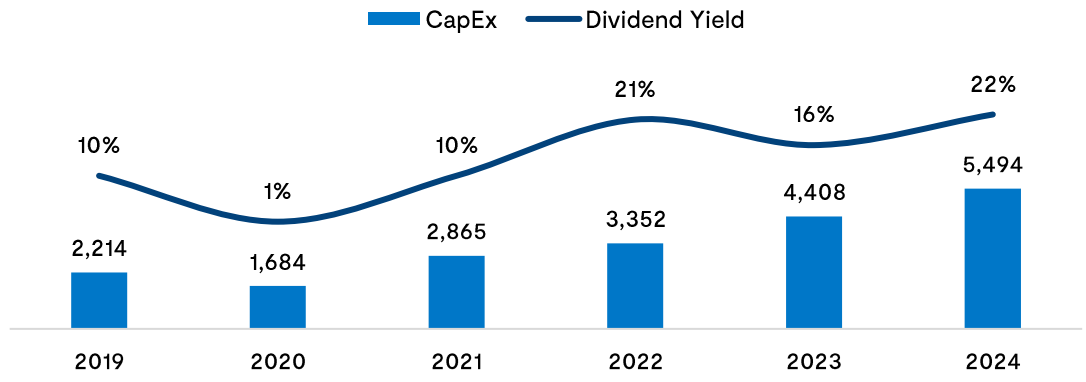
CSN deployed significant capital into acquisitions since 2021

Breakdown of Acquisitions by Transaction (R$ mn)



Rising CapEx and sustained dividends compounded leverage pressure

CapEx (R$ mn) x Dividend Yield (%)



Sources: CSN, XP

From Supercycle to Distress

Deteriorating cash generation and hidden leverage expose CSN's precarious financial position

Restructuring Period	Aggressive Growth Momentum	Financial Distress Period

Weighted Avg. Prepaid Price: USD 36.3/ton

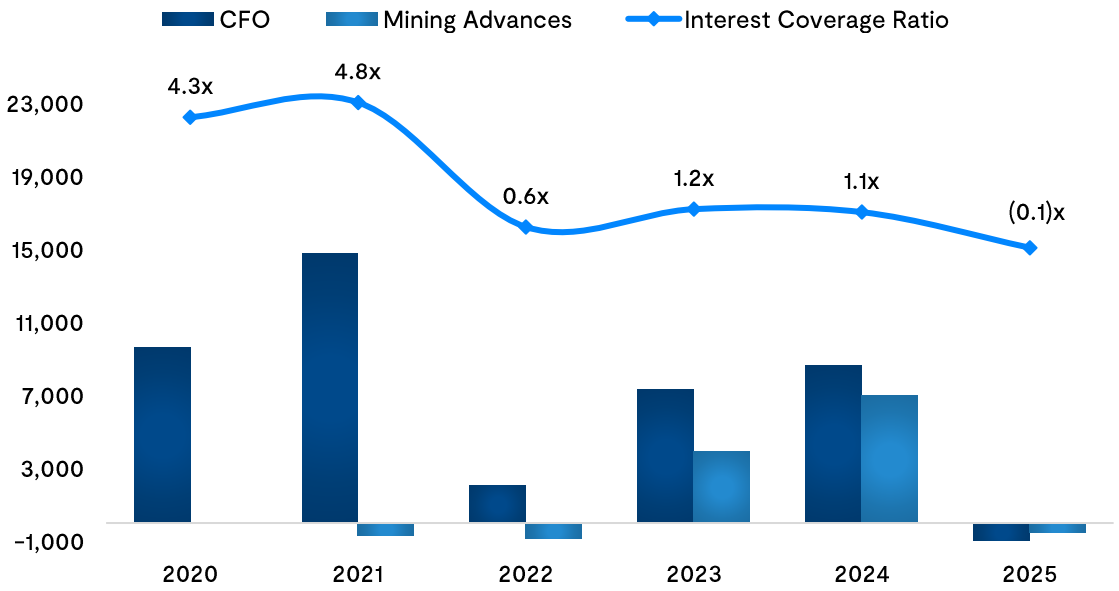
Realized Netback Price: USD 64.9/ton

Avg. Contract Duration: 4 years

Prepayment contracts carry an implied USD 11% annualized cost, representing expensive off-balance-sheet financing

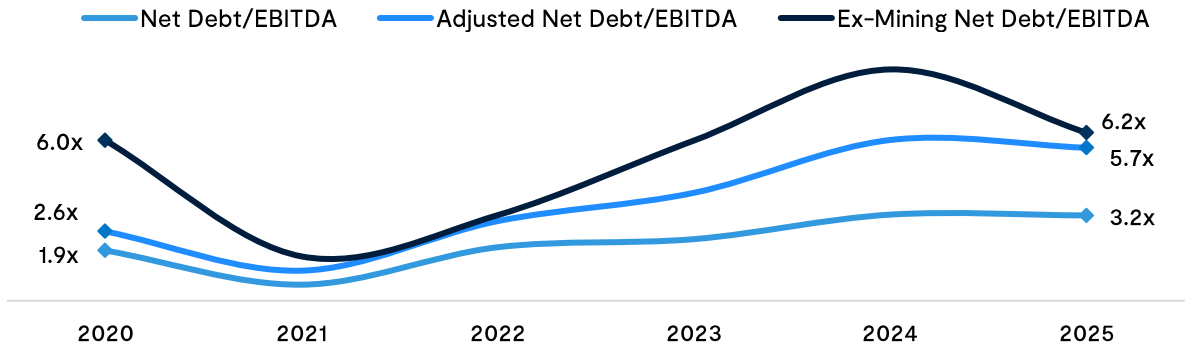
Mining advances mask weak cash flow, propping up interest coverage

Cash Flow from Operations, Mining Advances (R$ mn) & Interest Coverage Ratio (x)



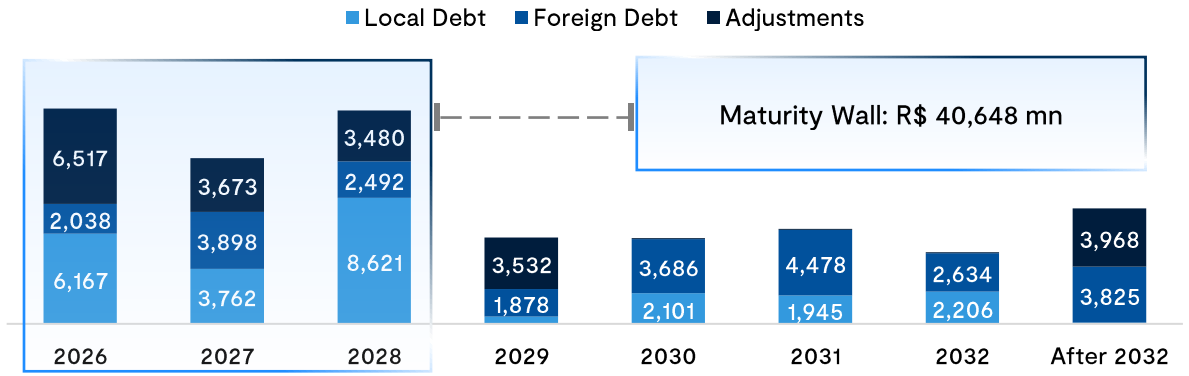
Adjusted metrics reveal a far more stressed leverage position than reported

Net Debt/EBITDA Calculations (x)



R$40.6bn maturity wall emerges after off-balance-sheet adjustments

Amortization Schedule of CSN (R$ mn)



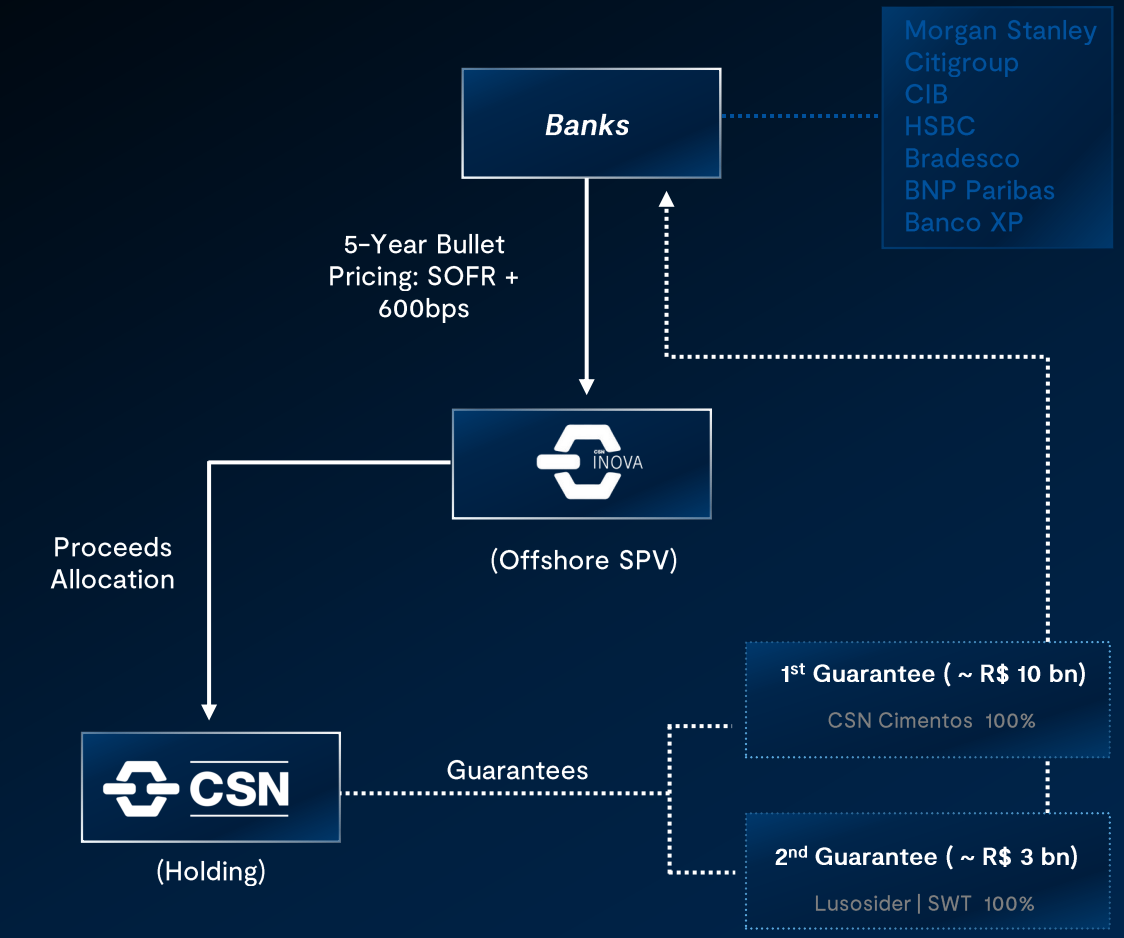
Sources: CSN, XP

CSN Bridge Loan Structure

Transaction Overview — Bridge Loan Proceeds

CSN received a US$1.2bn facility structured as a 5-year bullet, carrying floating-rate pricing of SOFR + 600bps, secured by a senior guarantee

The cement division was the primary collateral, with European steel assets pledged as additional security



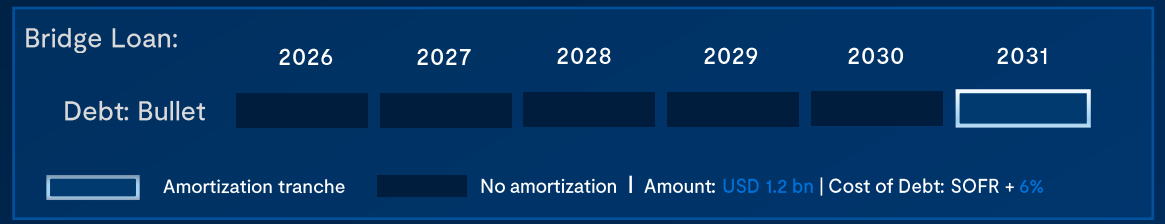
What Drove CSN to Seek Bridge Financing?

Facing significant debt maturities over the next three years, CSN required immediate liquidity to meet its near-term obligations



Bridge Loan Structure and Key Terms

CSN's US$1.2bn bridge loan, extendable to US$1.4bn via an accordion feature, carries floating-rate pricing of SOFR + 600bps, equivalent to ~9.7–10.0% all-in at closing, structured as a 5-year bullet with no scheduled amortization



What Are CSN's Next Steps?

CSN's deleveraging path hinges on the binding phase of the CSN Cimentos sale process, expected around May 2026, targeting a valuation of ~R$10bn. Key bidders include BAF, Votorantim, and Chinese strategic groups. In parallel, Citi and Bradesco BBI are running a minority stake sale process for CSN Infraestrutura

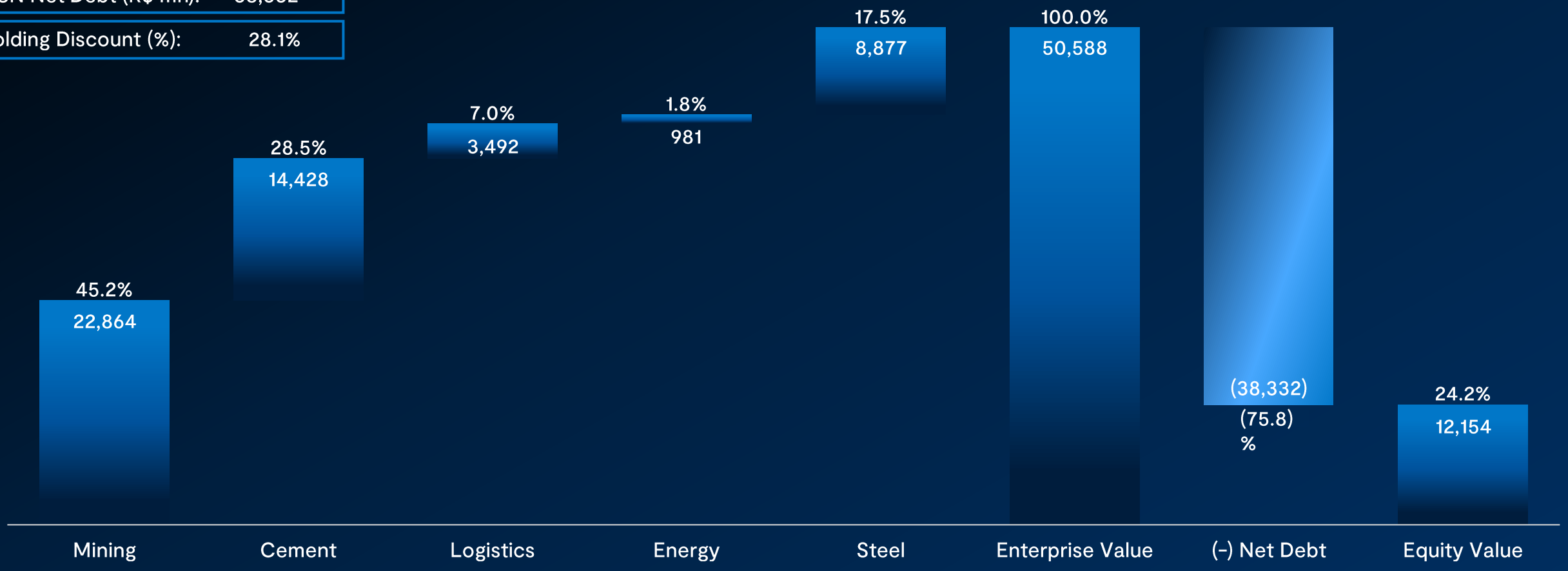
Sources: CSN, Santander

Sum-of-the-Parts Analysis Reveals Substantial Value Across Segments

SOTP valuation implies R$12.2bn in equity value against a market cap of R$8.8bn, reflecting a 28% holding discount

Sum of the Parts 2026 (R$ mn)

CSN Market Cap (R$ mn):	8,810
CSN Net Debt (R$ mn):	38,332
Holding Discount (%):	28.1%



Sources: CSN, Bloomberg

InFinance Capital Advisory's Deleveraging Plan for CSN

Four-Step Strategic Plan to Reduce Net Debt and Strengthen Credit Profile

1st Step

Divestiture of European Steel Plants

- Limited synergies with CSN's core operations
- Greater fit for a European steel player

R$ 3,153 mn

6.6% of Gross Debt

Assets EBITDA: R$ 609 mn

2nd Step

CSN Cimentos Sale to a Strategic Player

- Market entry for a consolidating player
- Synergistic bolt-on for a cement producer

R$ 14,924 mn

28.2% of Gross Debt

CSN Cimentos EBITDA: R$ 1,795 mn

3rd Step

Logistics Restructuring and Asset Disposal

- MRS intercompany transaction
- TECON sale to a strategic buyer

R$ 3,325 mn

6.3% of Gross Debt

TECON | MRS EBITDA: R$ 4,546 mn

4th Step

Tender Offer

- Funded by asset sales and MRS cash upstream
- CSN repurchases debt securities below par

R$ 4,251 mn

8.0% of Gross Debt

Average Tender Price: 67.4%

Sources: CSN

InFinance Capital Advisory's Deleveraging Plan for CSN

Four-Step Strategic Plan to Reduce Net Debt and Strengthen Credit Profile

1st Step

Divestiture of European Steel Plants

- Limited synergies with CSN's core operations
- Greater fit for a European steel player

R$ 3,153 mn

6.6% of Gross Debt

Assets EBITDA: R$ 609 mn

2nd Step

CSN Cimentos Sale to a Strategic Player

- Market entry for a consolidating player
- Synergistic bolt-on for a cement producer

R$ 14,924 mn

28.2% of Gross Debt

CSN Cimentos EBITDA: R$ 1,795 mn

3rd Step

Logistics Restructuring and Asset Disposal

- MRS intercompany transaction
- TECON sale to a strategic buyer

R$ 3,325 mn

6.3% of Gross Debt

TECON | MRS EBITDA: R$ 4,546 mn

4th Step

Tender Offer

- Funded by asset sales and MRS cash upstream
- CSN repurchases debt securities below par

R$ 4,251 mn

8.0% of Gross Debt

Average Tender Price: 67.4%

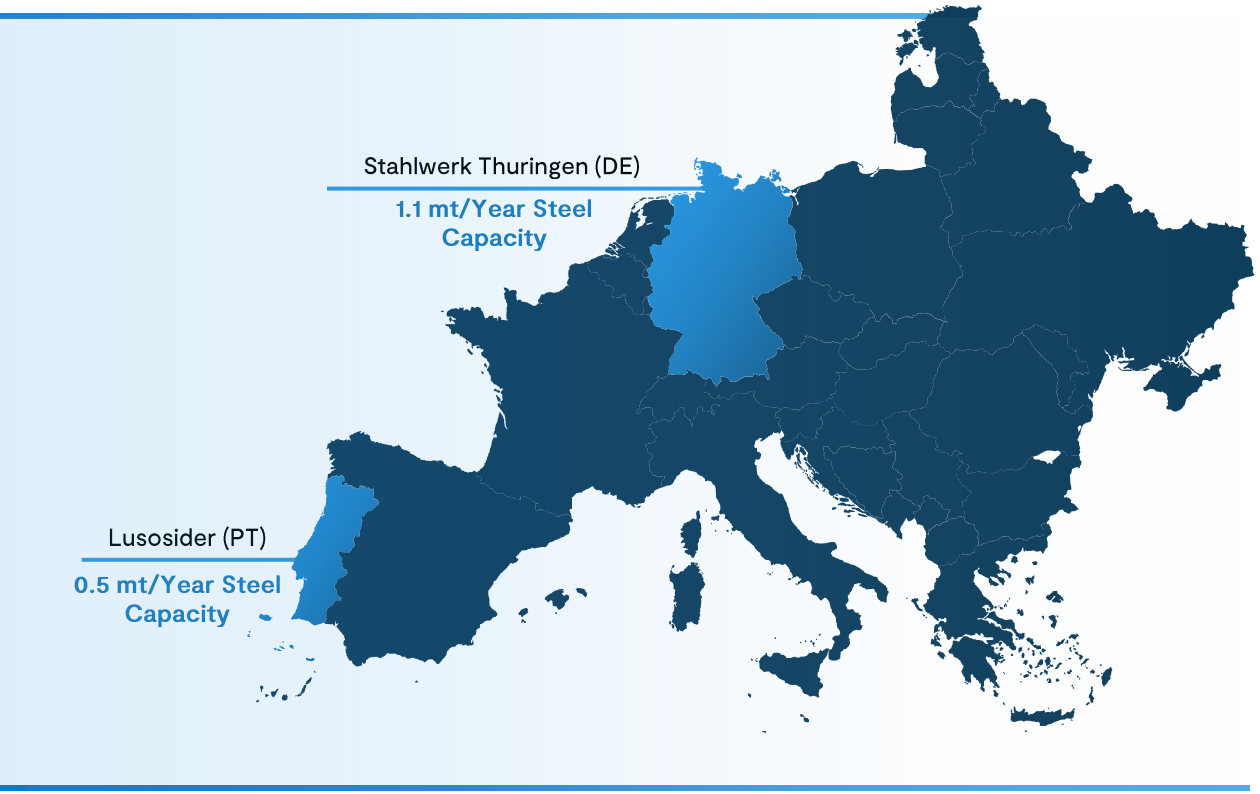
Sources: CSN

Reassessing CSN's European Steel Footprint

Non-core steel assets in Germany and Portugal represent a divestiture opportunity to unlock value and reduce leverage

Geographically distant, sub-scale assets with limited strategic fit

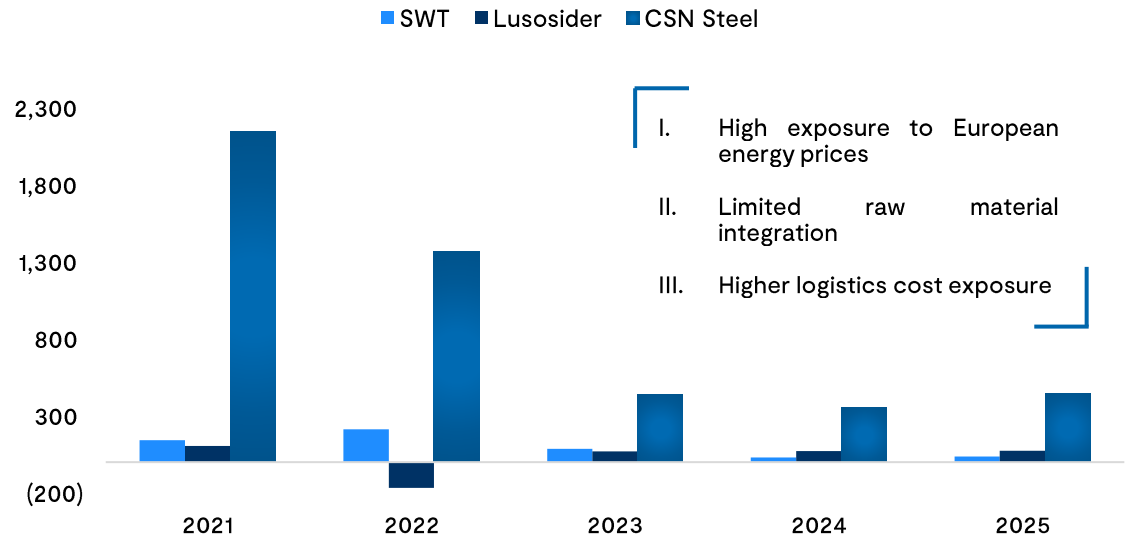
CSN European Steel Operation



CSN's European operations comprise downstream steel processing facilities serving regional markets, with limited integration into the group's core and significant exposure to European energy costs and Chinese import competition

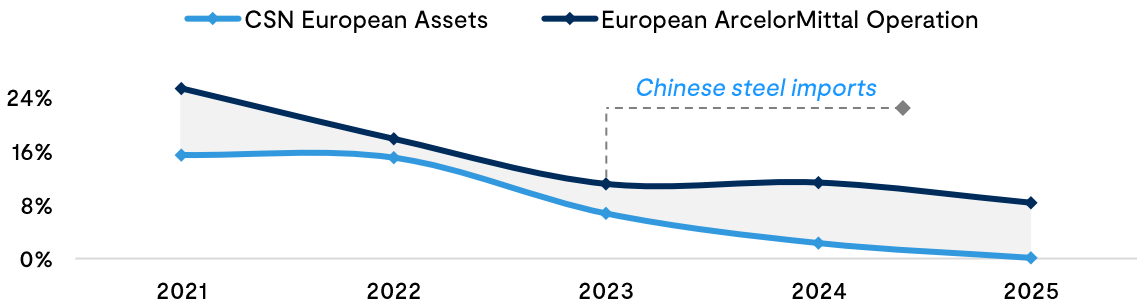
Poor vertical integration drives structurally weaker returns than CSN Steel

CSN Steel vs European Assets EBITDA/t (€ mn)



Lower integration drives persistent margin underperformance

ArcelorMittal European Operation and CSN European Assets EBITDA Margin (%)



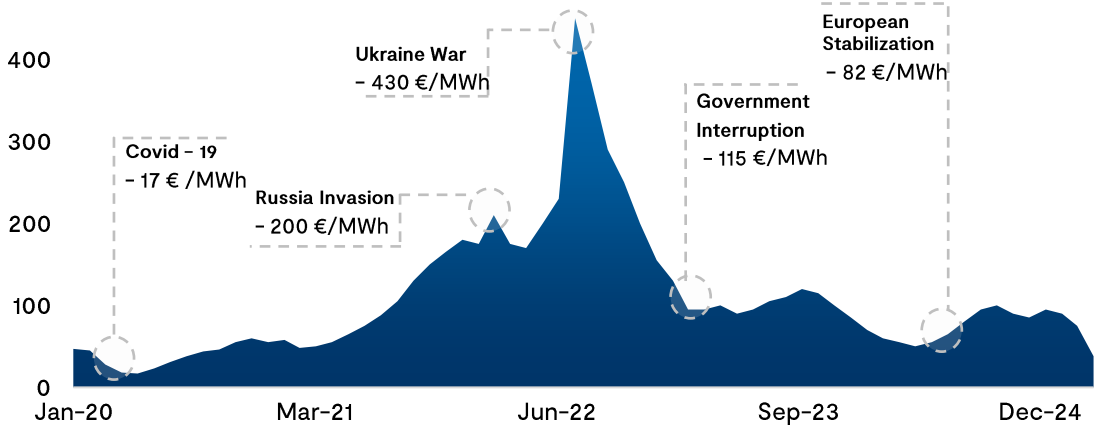
Sources: CSN, Steel Benchmarker

Unlocking Value: The Strategic Case for Divesting SWT

SWT's structural exposure to European energy volatility undermines margin stability, making divestiture the value-maximizing path

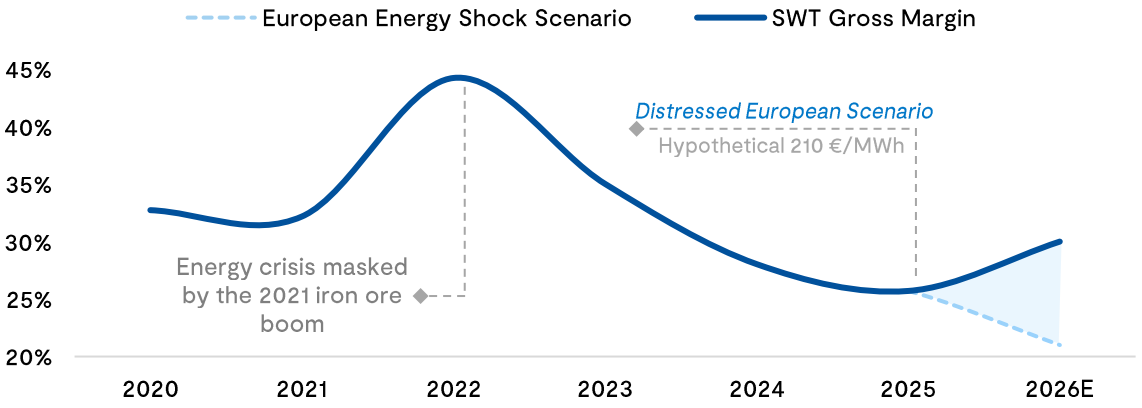
European energy volatility remains the primary margin risk for both assets

European Energy Prices (€/MWh)



SWT's gross margin is structurally exposed to European energy shocks

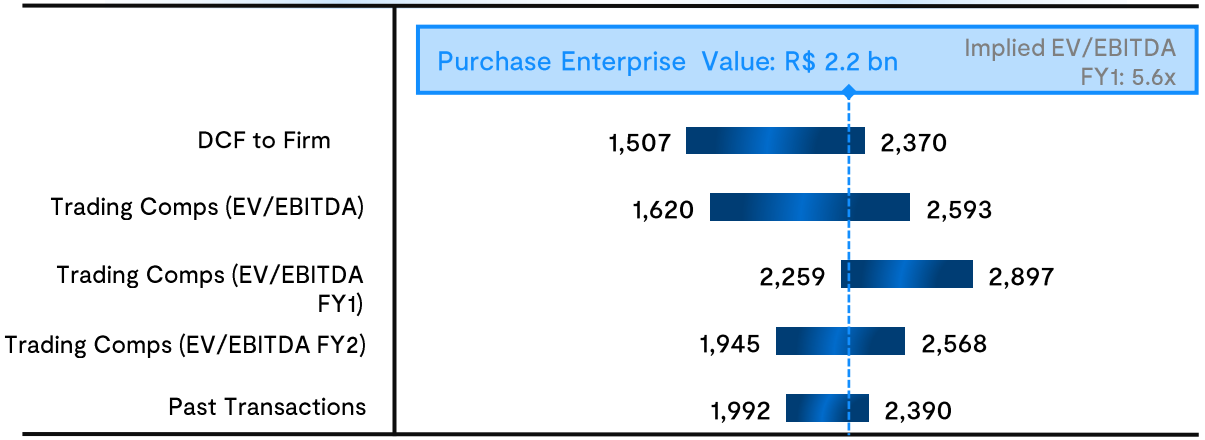
SWT Gross Margin Under Base Case vs. Energy Shock Scenario (%)



Transaction benchmarks point to a conservative exit value

SWT Past Transaction (€) & Football Field (R$ mn)

Year	Asset Characteristics	Target	Region	EV/t
2019	Integrated	SWT	Europe	386
2019	Integrated	Liberty	Europe	370
2024	Integrated	Estado CZ	Europe	285
2024	Integrated	CMC Steel	Europe	242
Median				328



Commentary

- Multiples Trading Comps uses 5.0-6.0x EV/EBITDA, Trading Comps (FY1) uses 5.0-6.6x and Trading Comps (FY2) Multiples uses 4.6-5.9x EV/EBITDA

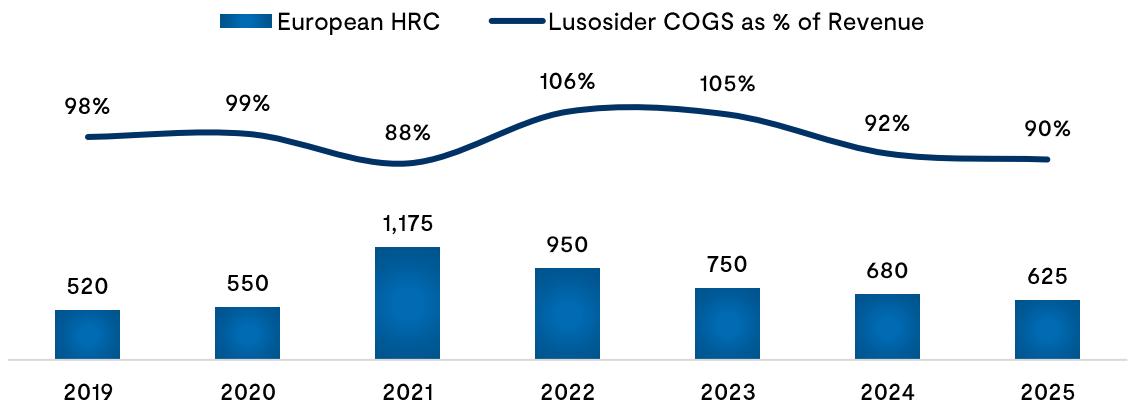
Sources: CSN , Steel Benchmarker

Unlocking Value: The Strategic Case for Divesting Lusosider

Lusosider's structural margin compression is best resolved through an integrated buyer capable of capturing intra-group synergies

Lusosider's margins are structurally tied to HRC-HDG spread dynamics

European Hot Rolled Coil (€/t) x Lusosider COGS as % of Revenue (%)



Intra-group HRC sourcing synergies generate compelling acquisition returns

Incremental Cash Flow from Intra-group Sourcing Synergies (€ mn)

Acquisition Cash Flows (€ mn)

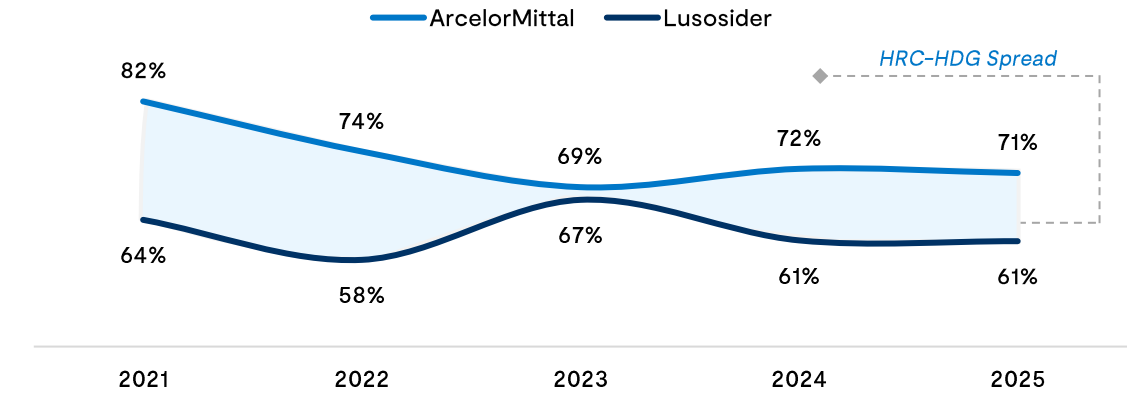
	2026E	2027E	...	2030E	2031E
CSN's FCFF	-	25	...	18	17
Synergies FCFF	(57)	17	...	14	14
Investments	(132)	-	...	-	-
Acquisition FCFF	(190)	42	...	32	31

Real IRR = 17.8% | Nominal IRR = 20.2% | NPV (€ mn) = 49

Synergies comprise a 10 €/t intra-group HRC discount, 20 €/t logistics optimization, and a 13.2% reduction in idle capacity, 70% passed through as acquisition premium

HRC–HDG spread compression suppresses Lusosider's capacity utilization

Lusosider vs. ArcelorMittal Europe Capacity Utilization Rate (%)



Cross-scenario analysis points to a base case valuation of R$ 1,159 mn

DCF and Transaction Multiple Sensitivity Analysis (R$ mn)

Multiple EV/t Past Transactions (€)

DCF Scenarios (R$ mn) / Lusosider EV	240	257	275	310	340
869	1,068	1,144	1,224	1,379	1,513
909	1,101	1,159	1,261	1,422	1,560
949	1,134	1,214	1,299	1,464	1,606
989	1,167	1,249	1,337	1,507	1,653
1,029	1,199	1,284	1,374	1,549	1,699

Sources: CSN, Lusosider

Divesting SWT & Lusosider: Higher Margins, Leaner Portfolio

Selling non-core European assets could simplify CSN's portfolio, improve EBITDA margin and support deleveraging

A broad buyer universe supports competitive tension

Shortlisted Strategic and Financial Acquirers

Fund | Company	Strategy	AuM | Market Cap
Jindal Steel	European expansion strategy with EAF steelmaking focus	€ 80 billion
ArcelorMittal	Portfolio reshaping toward higher-margin downstream assets	USD 46 billion
Marcegaglia	Flat steel consolidation play in Europe	D.N.F
JSW Steel	Flat steel expansion targeting protected European markets	€ 17 billion
Brookfield	Infrastructure-focused investor with decarbonization mandate	> USD 1 trillion

European divestiture expands pro forma EBITDA margin from 23% to 28%

2026 CSN Pro Forma's P&L LTM – Ex-European Assets (R$ mn)

	CSN	EU Assets	Pro Forma
Net Revenue	46,069	5,216	40,853
(-) COGS	(32,216)	(3,868)	(28,348)
(-) SG&A	(6,115)	(966)	(5,149)
(+) D&A	4,150	116	4,034
EBITDA	11,927	498	11,429
EBITDA Margin	23%	9%	28%

Reducing Net Debt / EBITDA: 0.14x

Partial bridge loan amortization generates R$ 535 mn in NPV savings

Cost Savings from Bridge Loan Amortization (R$ mn)

	2026E	2027E	...	2031E
(+) Interests (after Taxes)	201	199	...	218
(-) European Assets Dividends	33	67	...	82
Total Saved	168	97	...	53

NPV of Saving Costs: R$ 535 mn

Source: CSN, Steelfactory

InFinance Capital Advisory's Deleveraging Plan for CSN

Four-Step Strategic Plan to Reduce Net Debt and Strengthen Credit Profile

1st Step

Divestiture of European Steel Plants

- Limited synergies with CSN's core operations
- Greater fit for a European steel player

R$ 3,153 mn

6.6% of Gross Debt

Assets EBITDA: R$ 609 mn

2nd Step

CSN Cimentos Sale to a Strategic Player

- Market entry for a consolidating player
- Synergistic bolt-on for a cement producer

R$ 14,924 mn

28.2% of Gross Debt

CSN Cimentos EBITDA: R$ 1,795 mn

3rd Step

Logistics Restructuring and Asset Disposal

- MRS intercompany transaction
- TECON sale to a strategic buyer

R$ 3,325 mn

6.3% of Gross Debt

TECON | MRS EBITDA: R$ 4,546 mn

4th Step

Tender Offer

- Funded by asset sales and MRS cash upstream
- CSN repurchases debt securities below par

R$ 4,251 mn

8.0% of Gross Debt

Average Tender Price: 67.4%

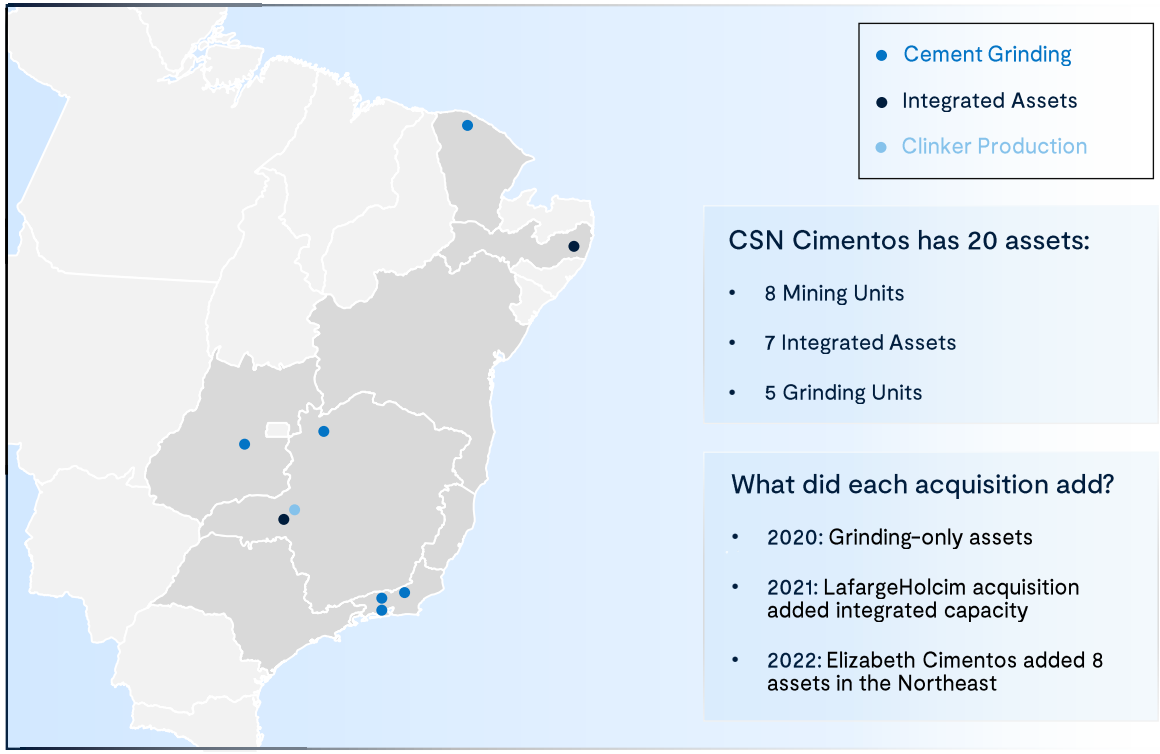
Sources: CSN

CSN Cimentos in a Nutshell

CSN Cimentos built a scaled, integrated national platform through a disciplined acquisition strategy

Mining assets concentrated in Minas Gerais, anchoring clinker supply

CSN Cimentos Asset Footprint



CSN Cimentos has 20 assets:

- 8 Mining Units
- 7 Integrated Assets
- 5 Grinding Units

What did each acquisition add?

- 2020: Grinding-only assets
- 2021: LafargeHolcim acquisition added integrated capacity
- 2022: Elizabeth Cimentos added 8 assets in the Northeast

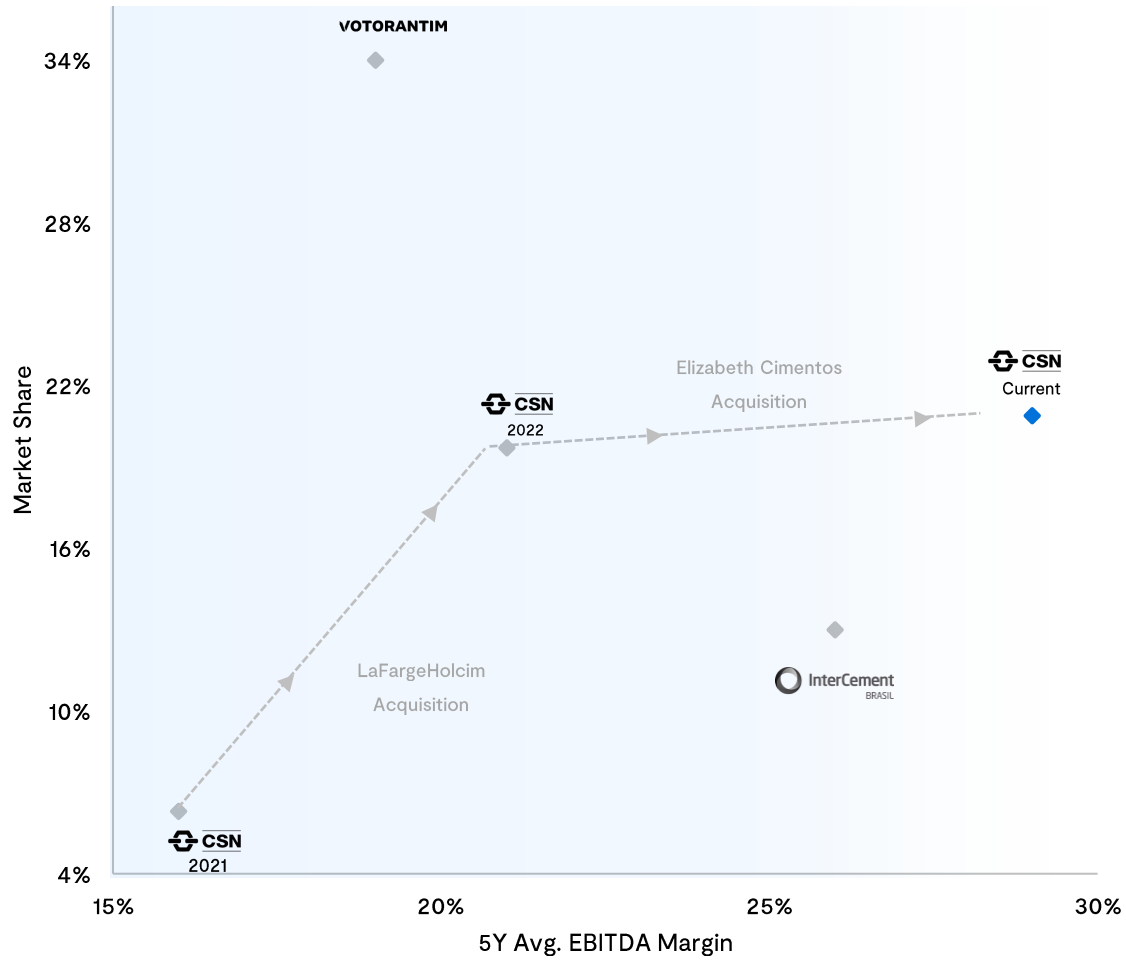
Raw Materials
Limestone, clay and correctives are extracted as the key inputs for cement production

Clinker Production
Raw meal fired in kilns to produce clinker, the key intermediate input

Cement Grinding
Clinker ground with gypsum, slag, and limestone to produce finished cement

Strategic acquisitions drove meaningful market share and margin expansion

Market Share (%) and EBITDA Margin (%)

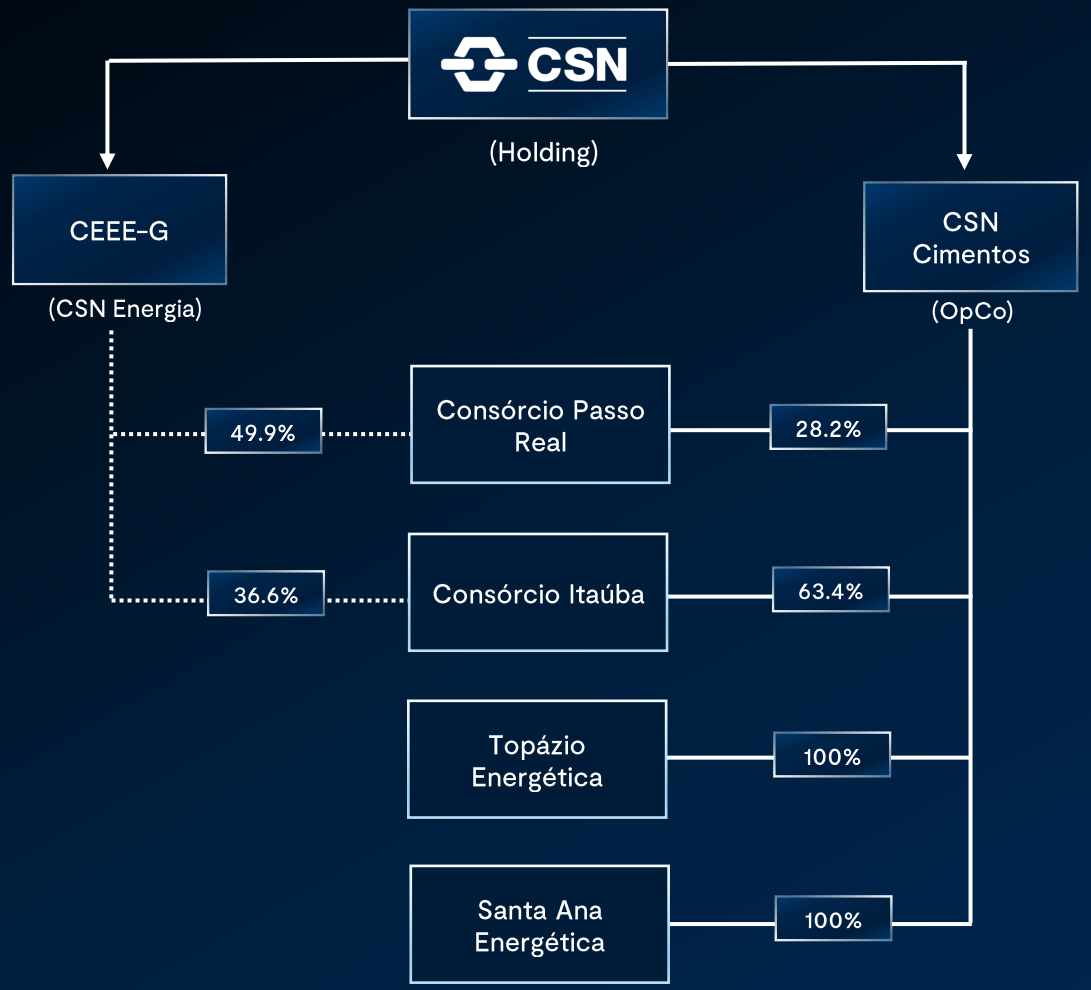


Sources: CSN , Intercement , Votorantim , SNIC

Energy Self-Sufficiency as a Hidden Value Driver in CSN Cimentos

CSN Cimentos Energy Participation (%)

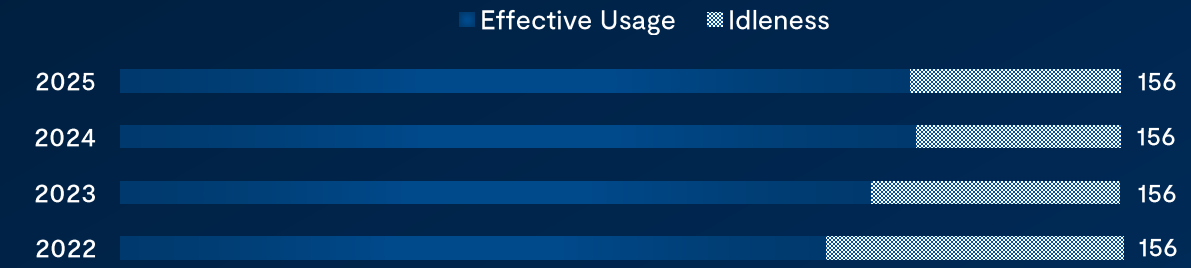
CSN Cimentos holds strategic stakes in energy assets ensuring full power self-sufficiency, a structural cost advantage and key value driver for a potential acquirer



CSN Cimentos Energy Asset Production (MWm)



CSN Cimentos Energy Consumption (MWm)



Full Energy Self-Sufficiency Provides a Structural Cost Advantage

Ownership stakes in four energy assets ensure 100% internal energy coverage, eliminating third-party power costs and providing a structural margin advantage

156 MWm
Of energy consumption

187 MWm
Of energy generation

~100%
Internal energy coverage

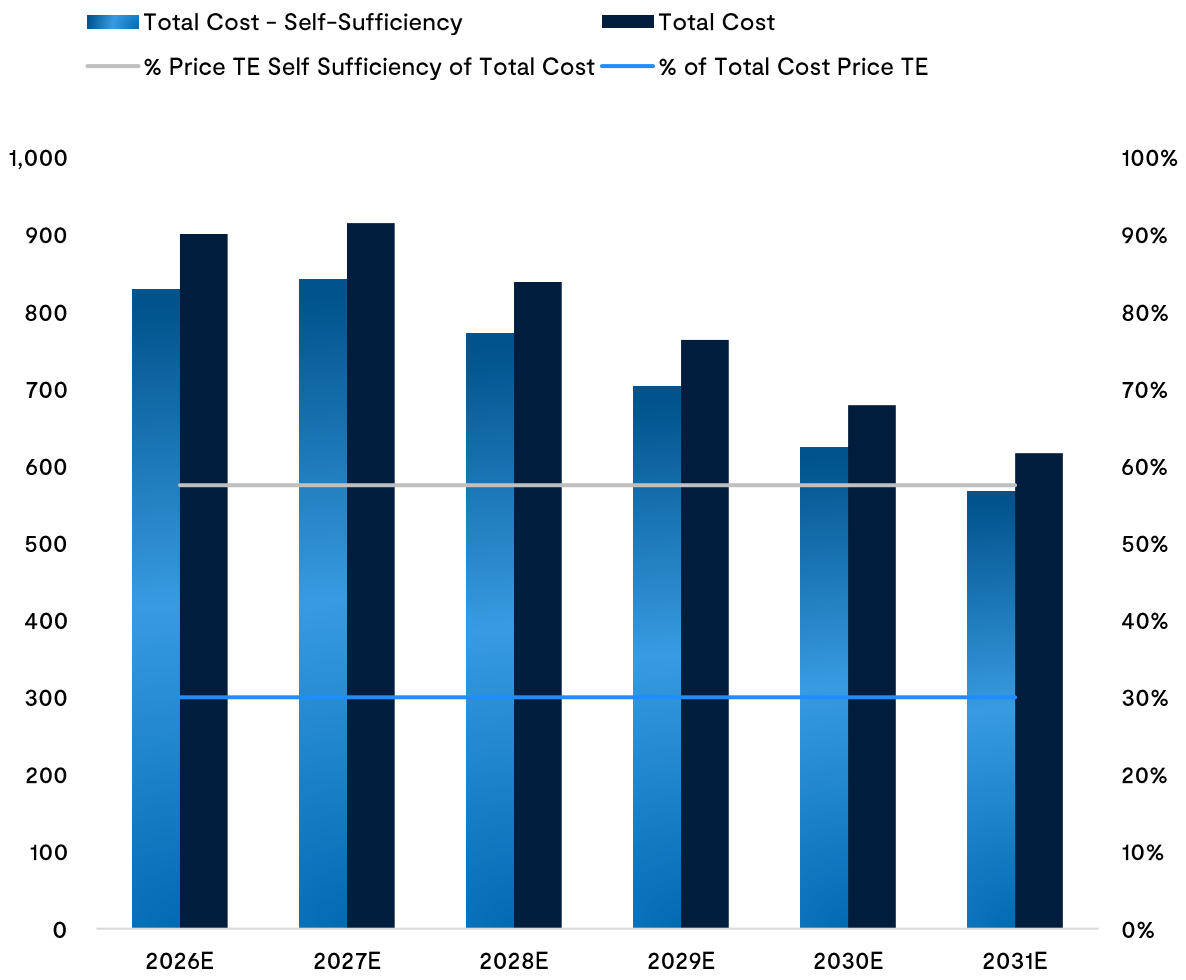
Sources: BTG, CSN

Monetizing CSN Cimentos' Energy Self-Sufficiency

CSN can monetize its below-market energy supply through a structured contract with the acquirer, boosting upfront proceeds and deal attractiveness

Self-sufficiency enables below-market energy supply to the acquirer

Energy Cost Under ACL vs. Self-Sufficiency (R$ mn) and TE Price as % of Total Cost (%)



Below-market energy supply contract boosts upfront proceeds and deal value

Energy Supply Contract for the Acquirer

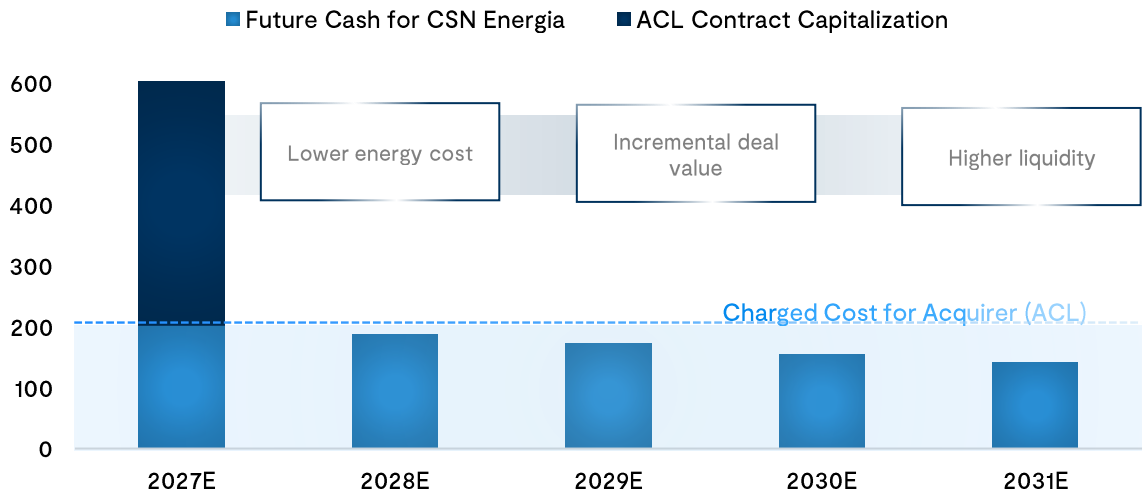
	(Unit)	2027E	2028E	...	2030E	2031E
Energy Consumption	(MW)	127	129	...	137	138
Price TE (Self-Sufficiency)	(R$/MWh)	518	526	...	390	354
Price TE (ACL) - Contract	(R$/MWh)	274	252	...	204	185

Capitalization for Price TE ACL: R$ 588 mn

NPV (Price ACL): 642 mn

Energy contract monetization enhances deal value and upfront liquidity

Incremental Present Value for CSN in Energy Contract (R$ mn)



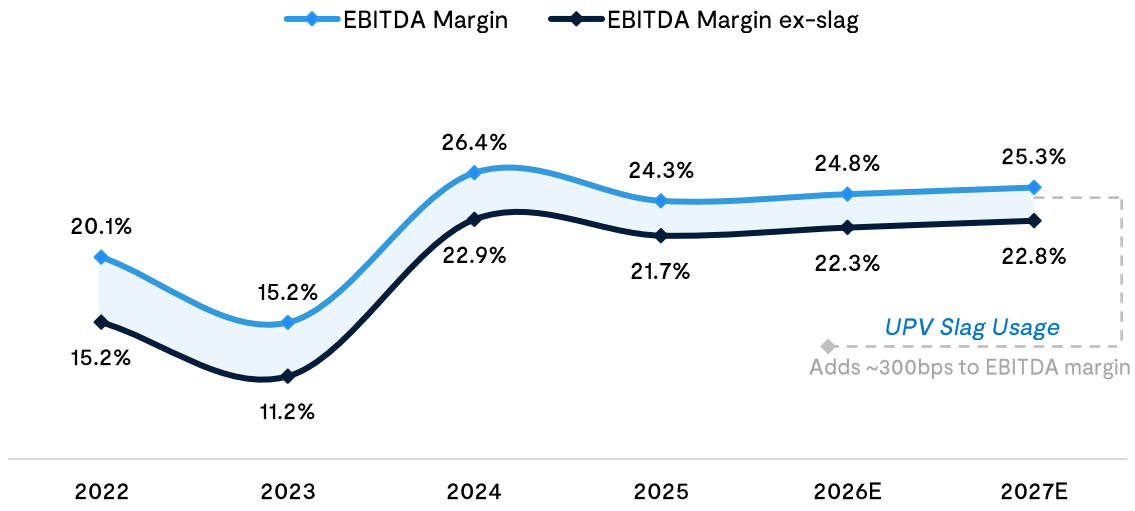
Sources: BTG, CSN

Slag as a Value Driver

CSN's below-market slag supply from UPV delivers a structural margin advantage, monetizable through an acquisition contract

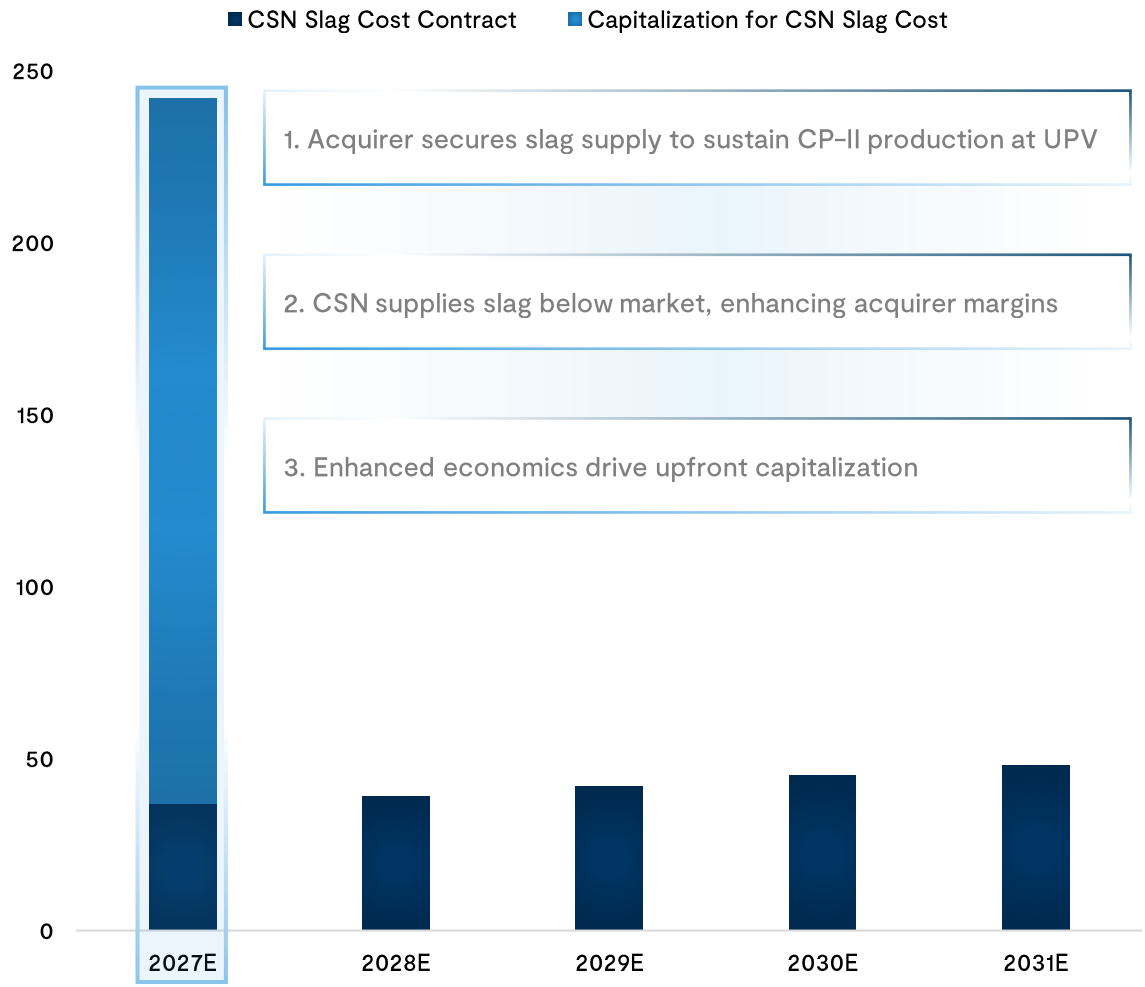
UPV[1] slag supply adds ~300bps to EBITDA margin

Cement EBITDA Margin & EBITDA Excluding Slag Margin (%)



Embedded cost advantage: monetizing below-market slag supply

Incremental Present Value for CSN in Slag Contract (R$ mn)



Slag contract yields R$ 205 mn in value and R$ 137 mn in NPV

Slag Supply Contract for the Acquirer

	(Unit)	2027E	2028E	...	2030E	2031E
Slag Usage in UPV	(Mt)	1.1	1.1	...	1.2	1.2
CSN Slag Cost	(R$/t)	19	19	...	21	22
Slag Spot	(R$/t)	47	49	...	52	54

Value added for CSN Slag Cost: R$ 205 mn

NPV (Slag Contract): R$ 137 mn

Sources: Argus Cement and Clinker, CSN | Notes: (1) Usina Presidente Vargas

Chinese Players as the Most Likely Acquirers of CSN Cimentos

State-backed financing and outbound investment mandates give Chinese players a structural edge over domestic competitors

We view Chinese players as the main buyers of CSN Cimentos

Strategic Assessment of Potential Acquirers

	Acquirer Characteristics	CONCH	Sinoma	华新水泥 HUAXIN CEMENT	J&F	VOTORANTIM
Acquirers	Why invest in CSN Cimentos?	Global diversification via BRI	Overseas expansion goal & existing Brazil presence	EPC + cement ops	Portfolio diversification	Limestone supply
	Strong Points	2nd largest cement producer globally	Capacity target: 25 → 50 Mt	30+ countries, 400+ projects	Largest Brazilian conglomerate	Strong balance sheet
	Weak Points	No LatAm presence	Limited Brazil integration	Engineering-focused	Unlikely to pay a premium	CADE

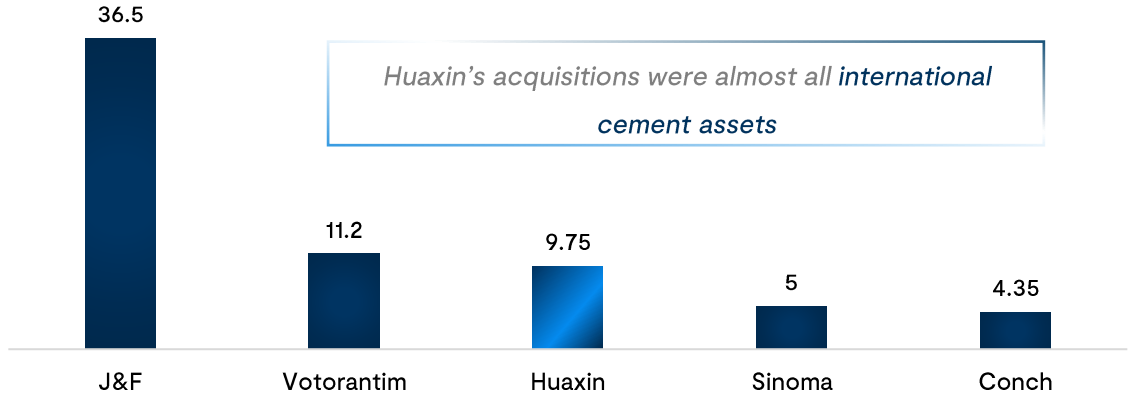
Chinese players access financing at lower spreads, reducing acquisition cost

Spread (YTM – Country Base Rate, %) and Duration (Years)



J&F and Chinese groups deployed R$50bn+ in acquisitions over five years

Acquisitions by Player Over the Last Five Years (R$ bn)



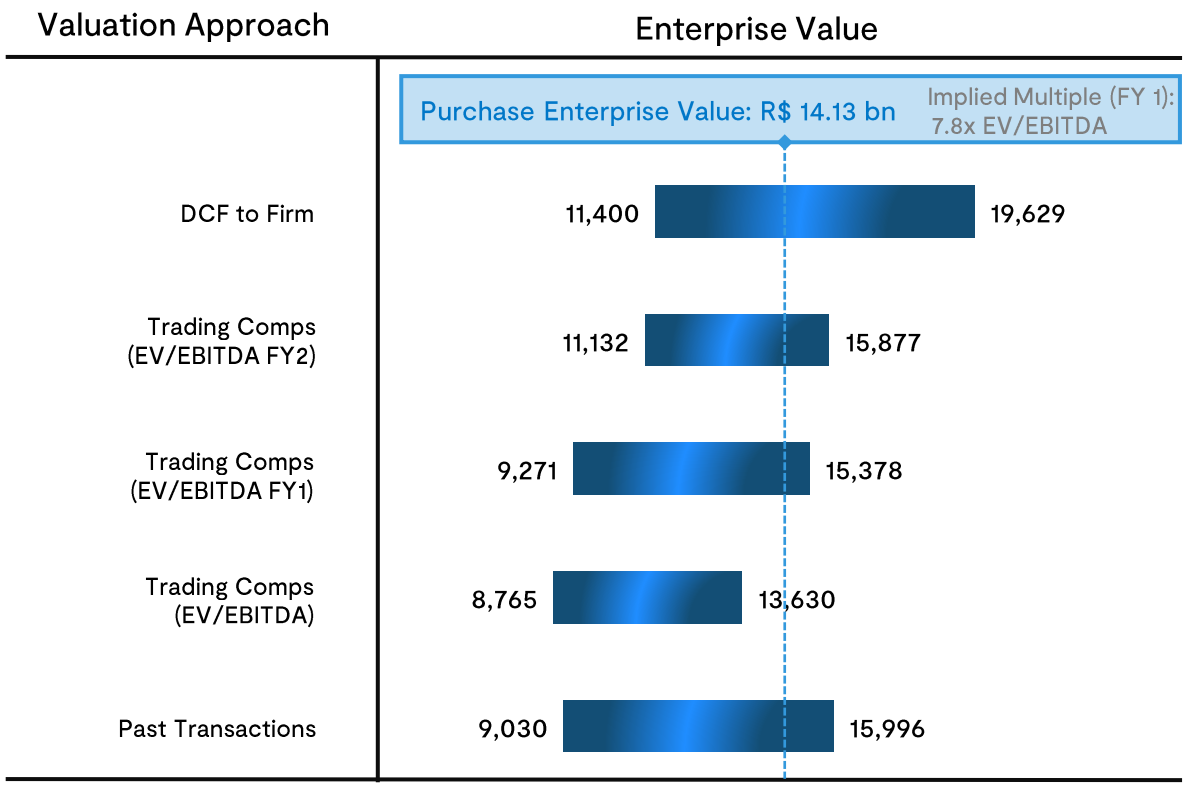
Sources: Anbima, Bloomberg, Conch, CSN, Huaxin

Valuation Anchored by Fundamentals, Enhanced by Contracts

Supply contract acceptance by the acquirer drives up to R$ 800mn in incremental valuation upside

Purchase price of 7.8x FY1 EV/EBITDA supported across all methodologies

Football Field Analysis (R$ mn)



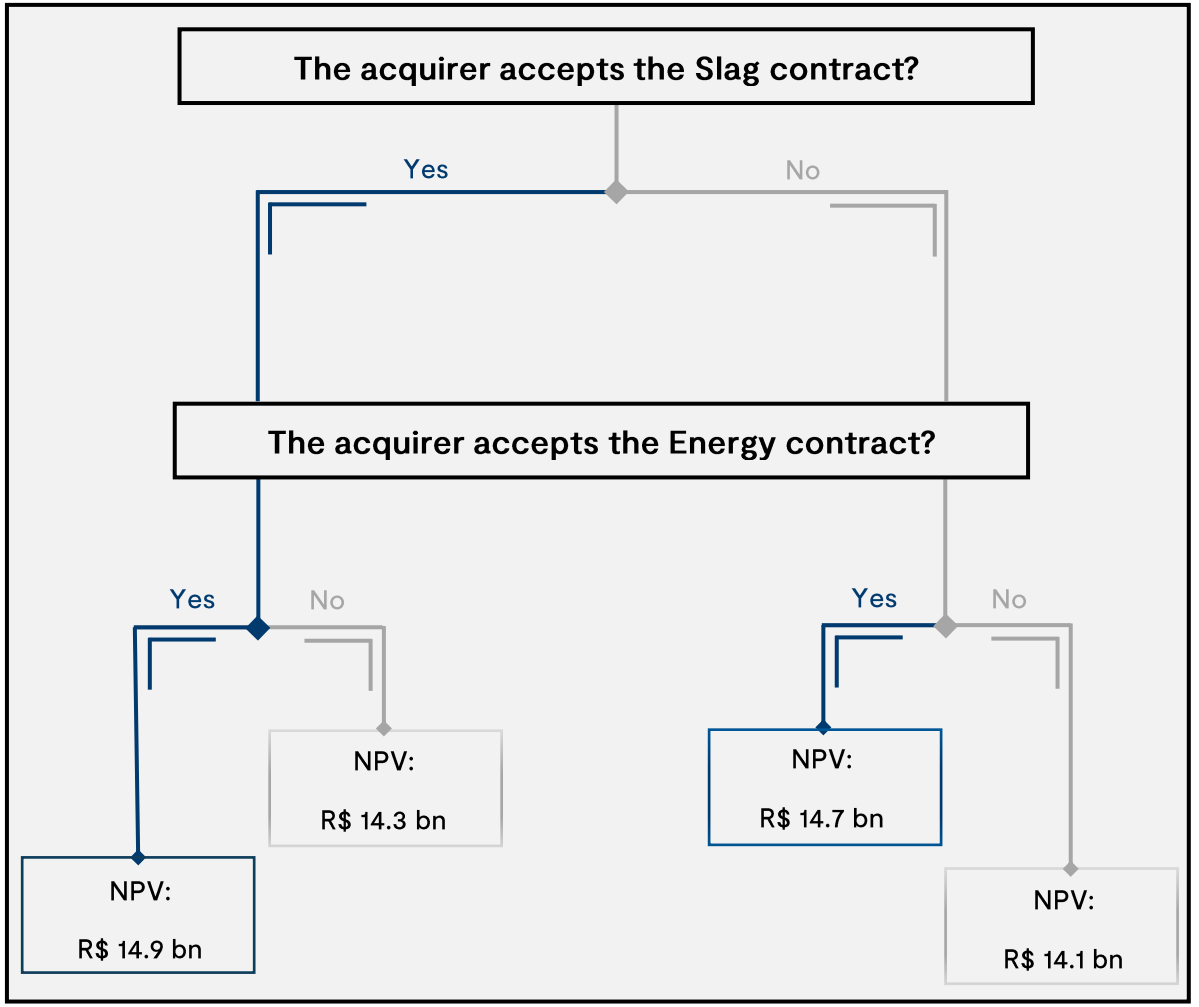
Commentary

- Multiples Trading Comps uses 6.7 – 10.4x EV/EBITDA, Trading Comps (FY1) uses 6.4–9.4x and Trading Comps (FY2) uses 6.1–8.7x EV/EBITDA
- Past Transaction Multiples uses 7.0 – 12.4 x EV/EBITDA

Sources: CSN, Bloomberg

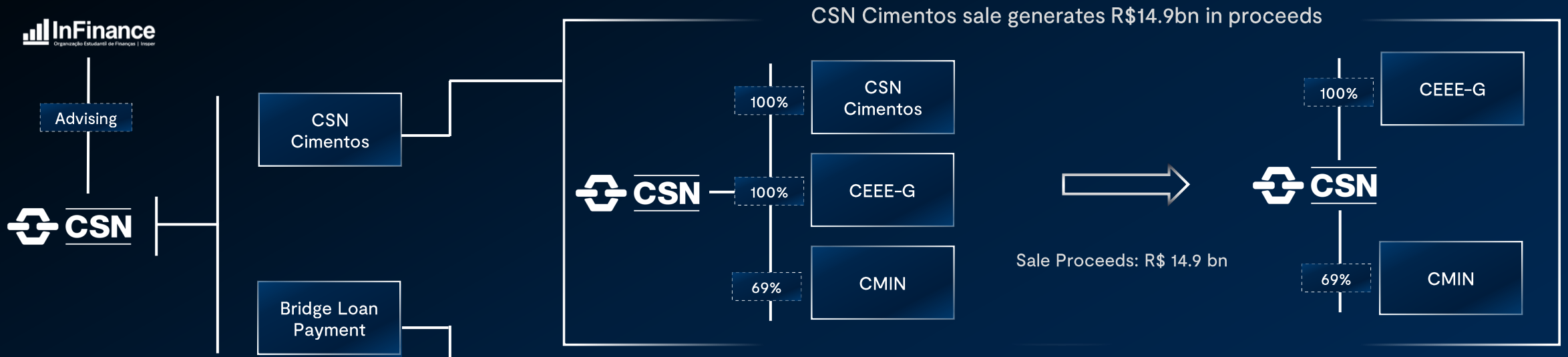
Contract acceptance drives valuation across four distinct scenarios

CSN Cimentos Valuation by Contract Acceptance Scenario (R$ mn)



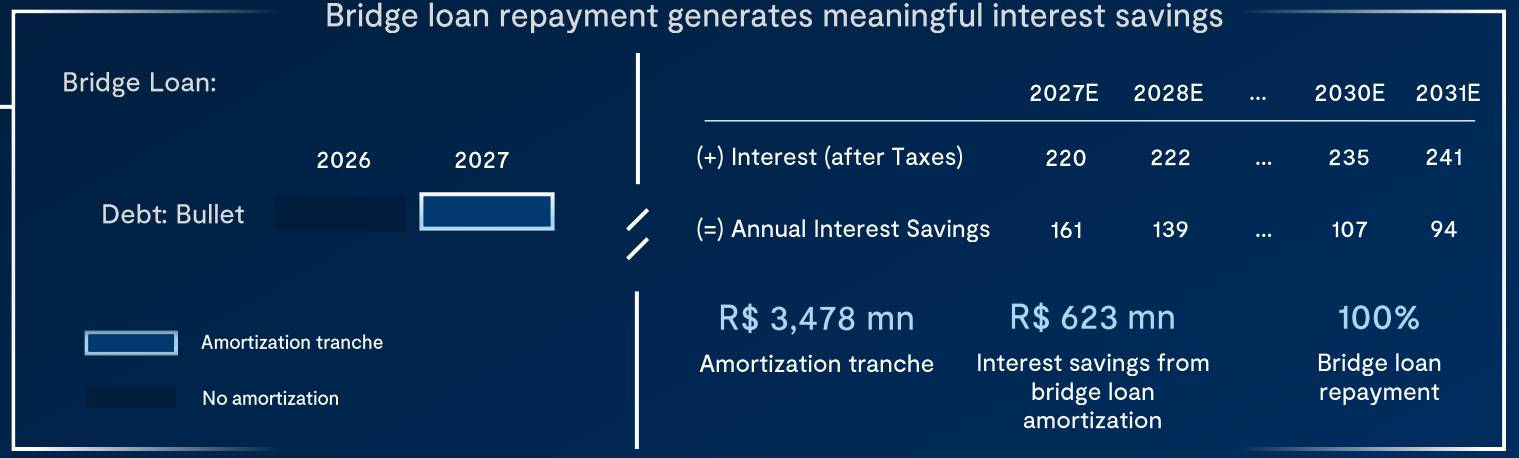
Cement Sale Structure and Bridge Loan Repayment

Proceeds from the R$14.9bn cement sale fully amortize the bridge loan, generating meaningful interest savings



Transaction Mechanism:

- Energy contract: below-market supply drives higher upfront capitalization
- Slag Contract: below-market supply enhances acquirer margins and capitalization
- Bridge Loan: amortization tranche repaid in full at closing



Sources: CSN

InFinance Capital Advisory's Deleveraging Plan for CSN

Four-Step Strategic Plan to Reduce Net Debt and Strengthen Credit Profile

1st Step

Divestiture of European Steel Plants

- Limited synergies with CSN's core operations
- Greater fit for a European steel player

R$ 3,153 mn

6.6% of Gross Debt

Assets EBITDA: R$ 609 mn

2nd Step

CSN Cimentos Sale to a Strategic Player

- Market entry for a consolidating player
- Synergistic bolt-on for a cement producer

R$ 14,924 mn

28.2% of Gross Debt

CSN Cimentos EBITDA: R$ 1,795 mn

3rd Step

Logistics Restructuring and Asset Disposal

- MRS intercompany transaction
- TECON sale to a strategic buyer

R$ 3,325 mn

6.3% of Gross Debt

TECON | MRS EBITDA: R$ 4,546 mn

4th Step

Tender Offer

- Funded by asset sales and MRS cash upstream
- CSN repurchases debt securities below par

R$ 4,251 mn

8.0% of Gross Debt

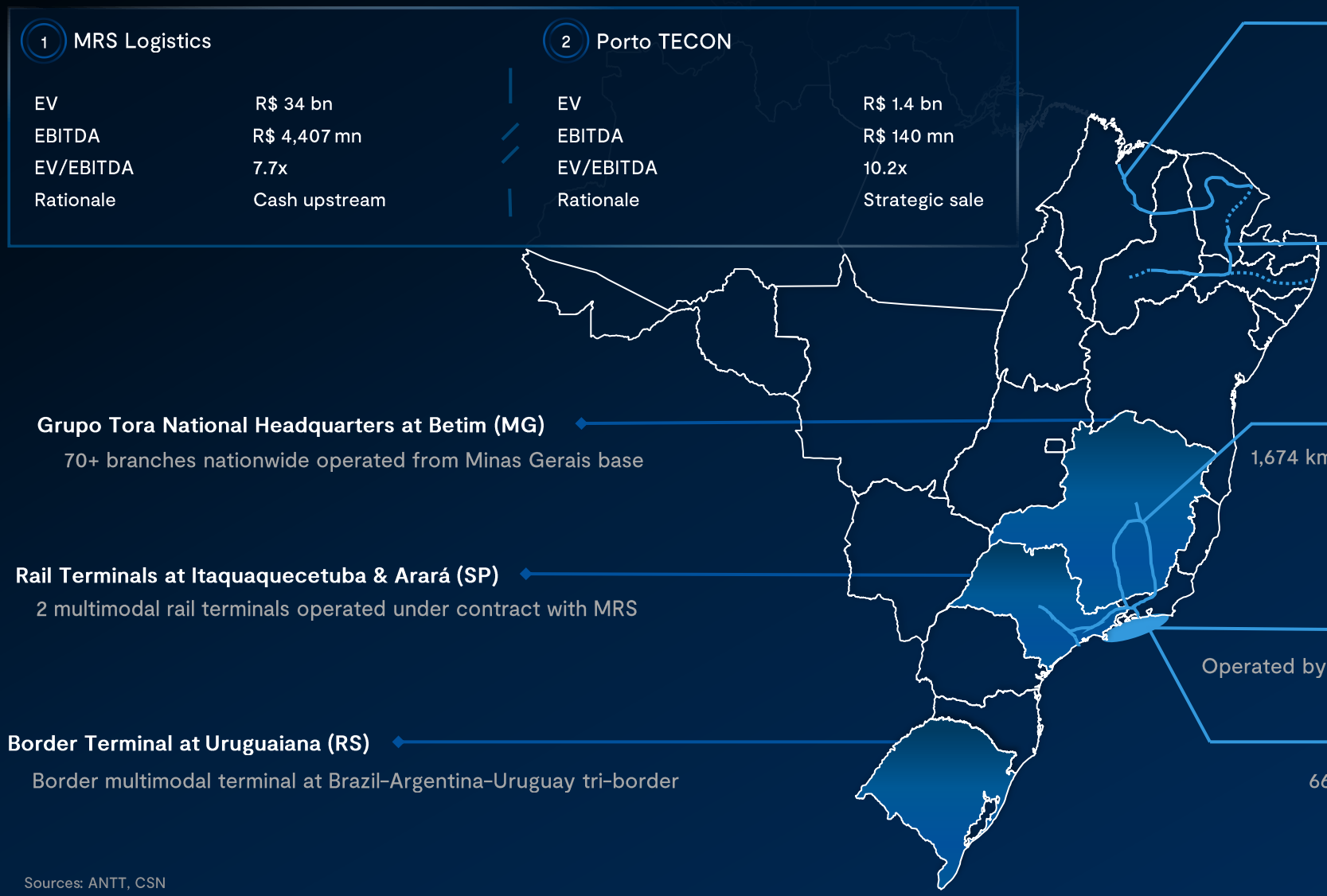
Average Tender Price: 67.4%

Sources: CSN

CSN's Strategic Logistics Footprint

Strategic logistics assets provide operational backbone to CSN, but also represent potential sources of liquidity for deleveraging

1 MRS Logistics		2 Porto TECON	
EV	R$ 34 bn	EV	R$ 1.4 bn
EBITDA	R$ 4,407 mn	EBITDA	R$ 140 mn
EV/EBITDA	7.7x	EV/EBITDA	10.2x
Rationale	Cash upstream	Rationale	Strategic sale



Ferrovia Transnordestina Logística (MA I PI I CE)
1,191 km operational of 4,534 km total Malha I concession

Nova Transnordestina – TLSA (PE I PI I CE)
1,206 km greenfield railway under construction · Conclusion Dec/29

Grupo Tora National Headquarters at Betim (MG)
70+ branches nationwide operated from Minas Gerais base

MRS Logística (MG I SP I RJ)
1,674 km · most dense heavy haul railway in Brazil · ~50% EBITDA margin

Rail Terminals at Itaquaquecetuba & Arará (SP)
2 multimodal rail terminals operated under contract with MRS

TECAR Solids Terminal at Itaguaí (RJ)
Operated by CMIN · concession until 2047 · ~96% of Group iron ore exports

Border Terminal at Uruguaiana (RS)
Border multimodal terminal at Brazil-Argentina-Uruguay tri-border

TECON Container Terminal at Itaguaí (RJ)
660,000 TEUs/year — largest container terminal in Rio de Janeiro

Sources: ANTT, CSN

Logistics Divesting Structure

I

MRS Logística

CSN transfers its MRS stake to CMIN, upstreaming cash to HoldCo

II

TECON — Container Terminal at Itaguaí

Strategic sale of CSN's container terminal at Itaguaí

Logistics Divesting Structure

I

MRS Logística

CSN transfers its MRS stake to CMIN, upstreaming cash to HoldCo

II

TECON — Container Terminal at Itaguaí

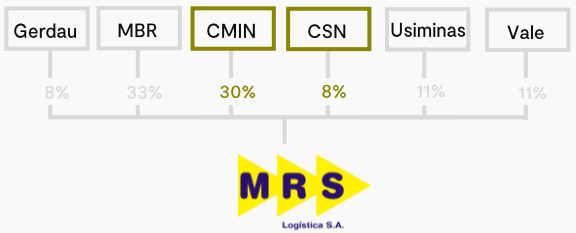
Strategic sale of CSN's container terminal at Itaguaí

MRS in a Nutshell

Strategic rail backbone linking CSN's key industrial flows across mining, steel, cement and port logistics

MRS Logística was established in 1996 following the privatization of Brazil's federal rail network and operates one of Brazil's most strategically positioned railway concessions, connecting Minas Gerais, Rio de Janeiro and São Paulo. Focused on heavy-haul logistics, MRS transports mainly iron ore, steel products, coal/coke, cement and general industrial cargo, serving key mining, industrial and port corridors.

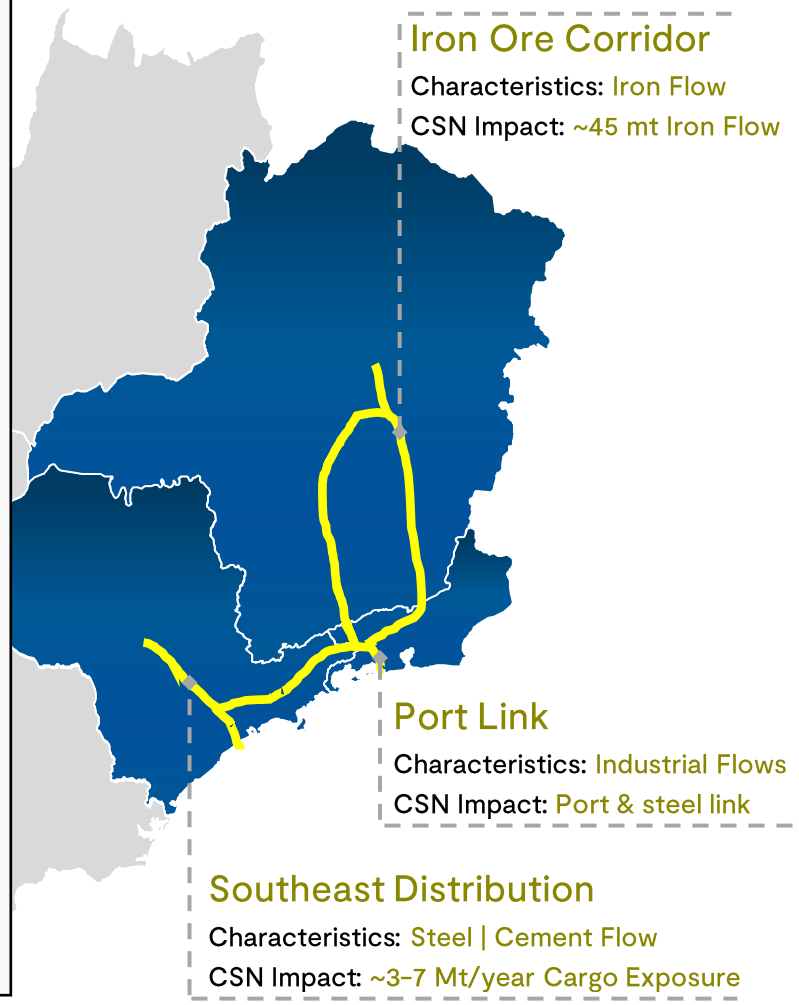
Shareholders



Key Financials (R$ mn) LTM

Transported Volume (mt)	213
Net Revenue	7,582
EBITDA (Adjusted)	3,972
Adjusted Net Debt / EBITDA	1.4x

MRS Railway Network and Key Corridors



CSN and Vale hold 81.5% economic and 67.4% voting control

MRS Shareholding Structure

Shareholder Rights	% Economic Interest	% Voting
Vale Pro Forma	44.0%	39.4%
MBR (Vale)	33.1%	20.0%
Vale S.A	10.9%	19.4%
CSN Pro Forma	37.5%	28.0%
CSN	7.6%	13.7%
CMIN	29.9%	14.3%
Gerdau	11.2%	19.9%
Other	8.3%	14.0%

Key shareholders operate in breach of the Shareholders' Agreement

Shareholders' Agreement Highlights

Art. 4.8(b)- *20% Voting Cap*

No shareholder may hold, directly or indirectly, more than 20% of the total shares representing the voting capital of the company throughout the term of the Concession, unless authorized by the Granting Authority

III. Third Amendment to the Shareholders' Agreement

For purposes of exercising rights set forth in this agreement, CSN and CMIN shall be considered together as a single shareholder

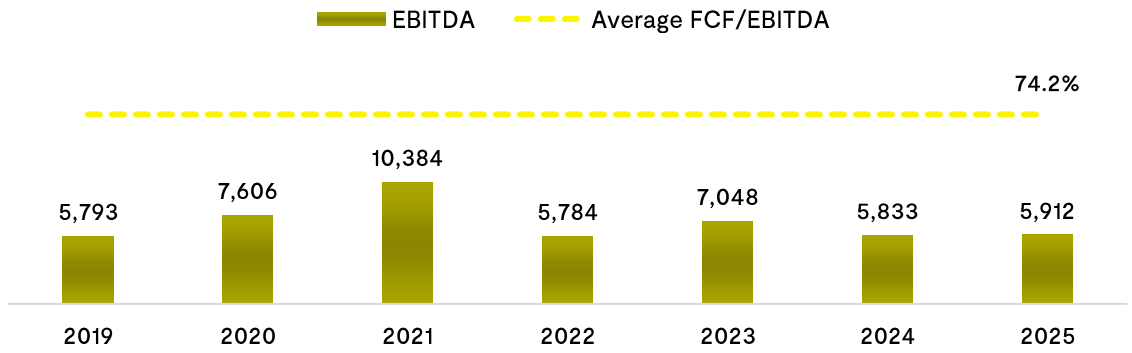
Sources: CSN , MRS Logística

MRS Intercompany Sale: Maximizing Cash to HoldCo

An intercompany MRS stake sale to CMIN generates more cash for HoldCo than dividend distributions

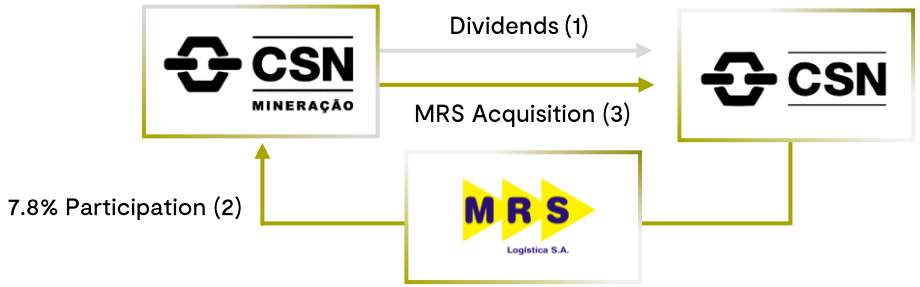
CMIN remains a strong cash generator despite mining cycle headwinds

CSN Mineração EBITDA (R$ mn) and FCF/EBITDA (%)



Intercompany sale allows CSN to capture more cash than CMIN dividends

CSN Holding Earn Structure of CMIN Dividends and MRS Participation Acquisition by CMIN



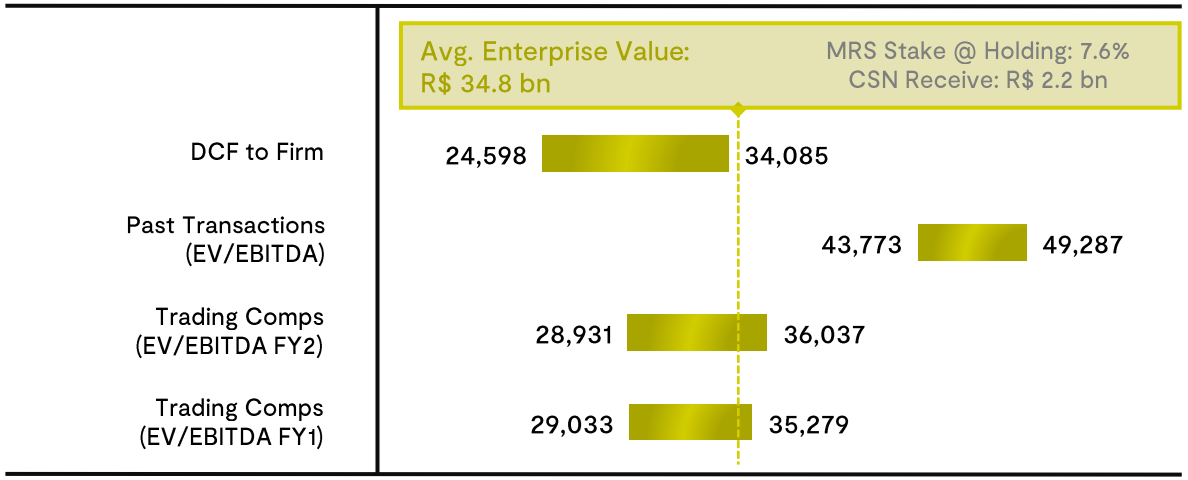
Intercompany Structure Advantage

1: Dividend route: subject to 31% dilution from minority shareholders and 10% withholding tax, resulting in R$651.4mn foregone by CSN HoldCo

2-3: Intercompany sale: equity cost vs. book value tax treatment results in R$205.2mn foregone, materially less than the dividend route

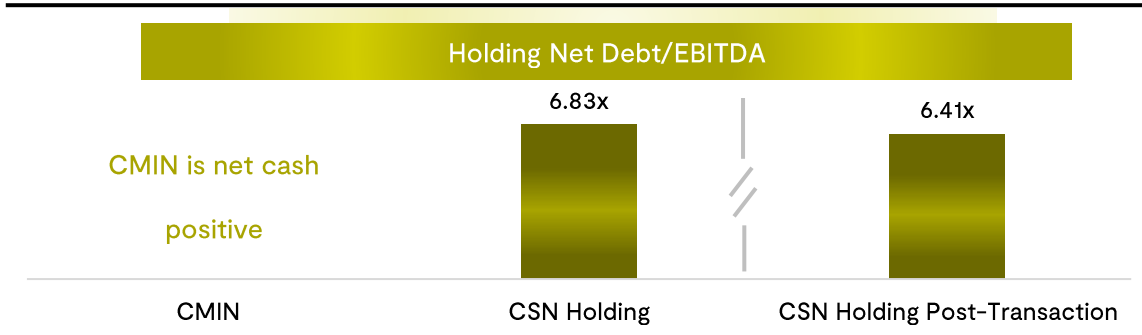
MRS valuation supported across all methodologies, with avg. EV of R$34.8bn

Football Field Analysis (R$ mn)



Commentary

- Multiples Trading (FY1) Comps uses 6.1 – 7.4x EV/EBITDA, Trading Comps (FY2) uses 5.7x-7.4x and DCF Ke and Kd sensitized in 1.5% increments
- Past Transaction Multiples uses 9.8 – 11.0x EV/EBITDA



Sources: CSN, MRS Logística

Logistics Divesting Structure

I

MRS Logística

CSN transfers its MRS stake to CMIN, upstreaming cash to HoldCo

II

TECON — Container Terminal at Itaguaí

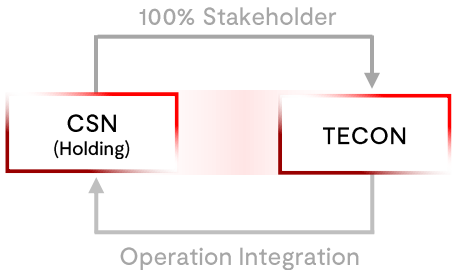
Strategic sale of CSN's container terminal at Itaguaí

TECON at–a–Glance

TECON has become increasingly integrated with CSN's steel exports, but utilization remains constrained by limited container expertise

Sepetiba Tecon was established in 1998 and operates one of Brazil's most strategically located container terminals, positioned at the Port of Itaguaí (RJ), just 80 km from Rio de Janeiro. Focused on full-service port logistics, Sepetiba Tecon handles container loading and unloading under a one-stop-shop model.

Asset Operation

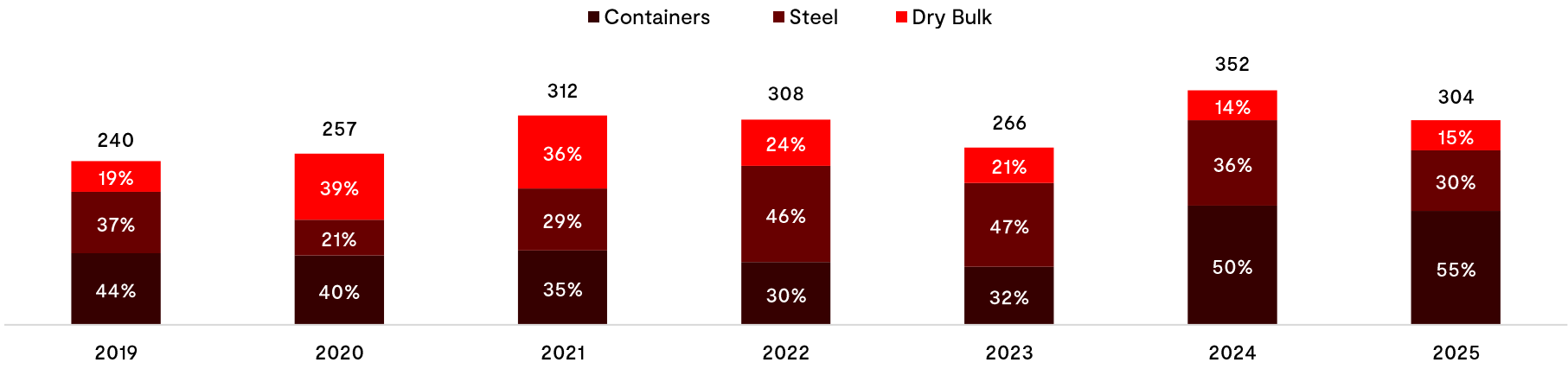


Key Financials (R$ mn) LTM

Containers Capacity (000s)	440
Net Revenue	304
EBITDA	99
Adjusted Net Debt / EBITDA	0.2x

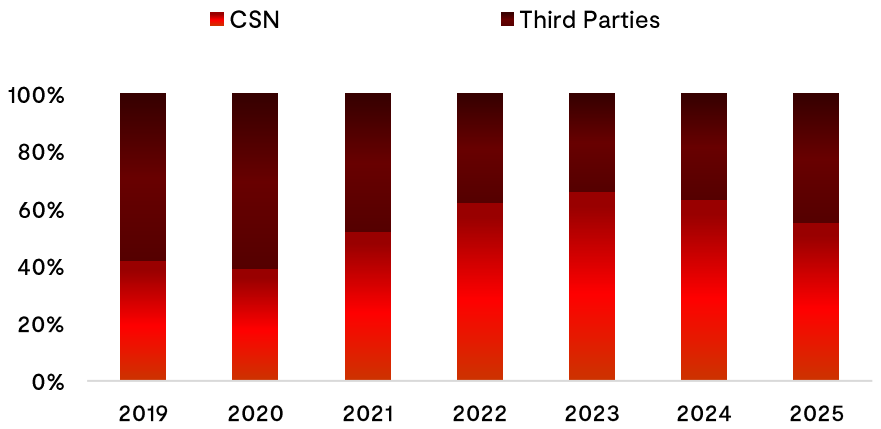
Post-2021, TECON shifted toward steel export integration, reducing container revenue share

Revenue Breakdown (R$ mn, %)



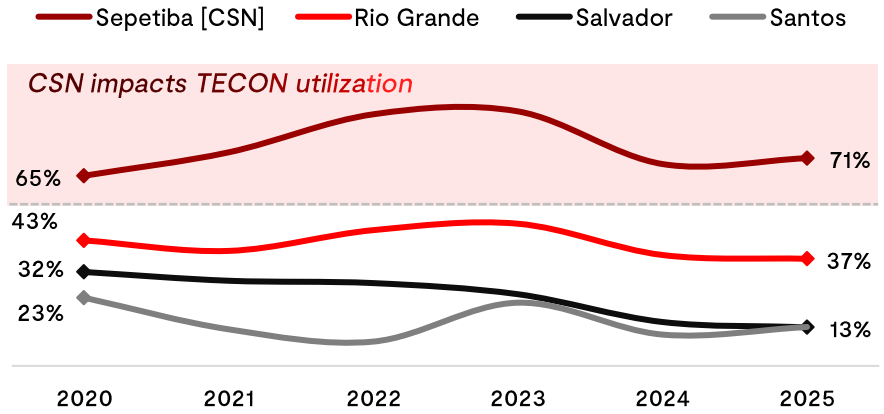
CSN dominates TECON utilization post-integration

Sepetiba TECON usage distribution (%)



Container expertise gap drives underutilization vs. peers

Containers Idleness Rate by Brazilian TECONs



Sources: CSN, DP World Santos, Wilson Sons

Deleveraging Opportunity With Strategic Access Constraints

A potential sale could unlock liquidity and reduce CSN's net debt, but the transaction requires a robust long-term access agreement

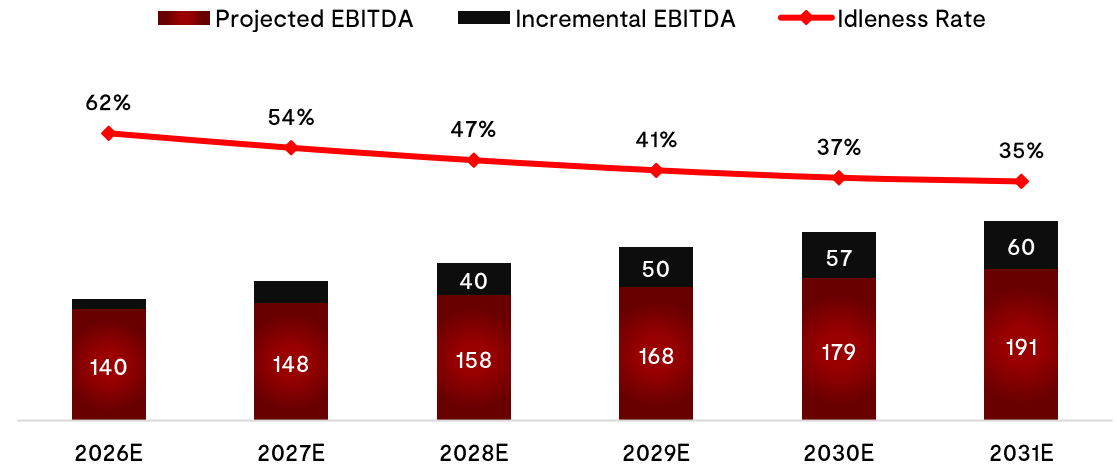
Three global shipping leaders with compelling rationale for TECON

Strategic Assessment of Potential Acquirers

	Acquirer Characteristics	Hapag-Lloyd	MAERSK	COSCO SHIPPING
Acquirers	Investment Rationale	Terminal synergies via Gemini Alliance	End-to-end logistics platform fit	Key Brazil–China trade corridor access
	Strong Points	Broad Gemini Alliance reach	Global #1 terminal operator	World's largest fleet: 557 vessels
	Weak Points	High leverage ratio	Freight rate compression	State-owned governance risk

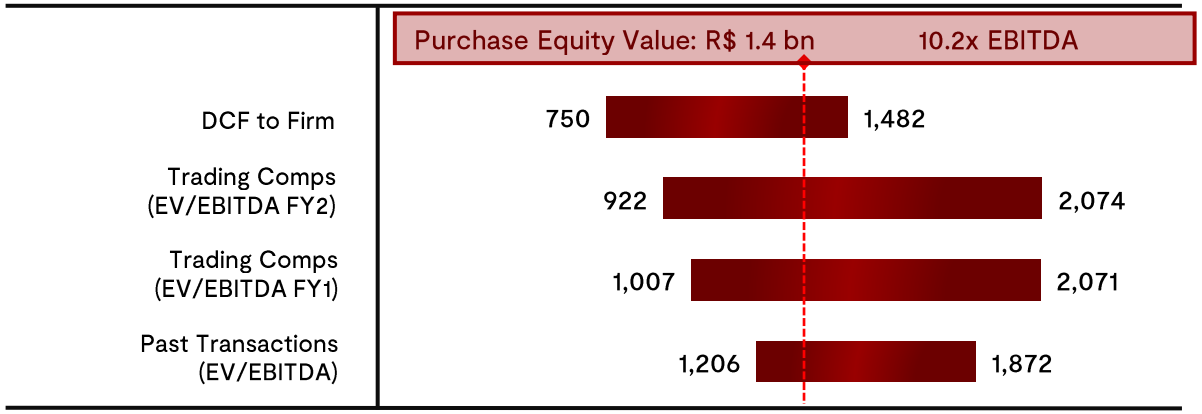
CSN's limited technical know-how constrains TECON's operational efficiency

Incremental EBITDA (R$ mn) & Idleness Rate (%)



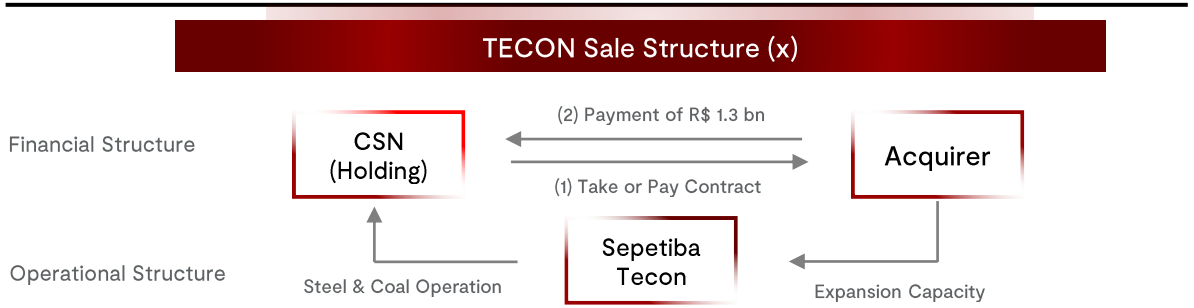
Cross-methodology valuation supports R$1.4bn purchase equity value

Football Field Chart & Transaction Structure (R$ mn)



Commentary

- Multiples Trading Comps (FY1) uses 6.9 – 14.2x EV/EBITDA, Trading Comps (FY2) uses 6.0-13.1x and Past Transactions Multiples uses 8.7 – 13.5x EV/EBITDA



Key Contractual Conditions for CSN Post-Sale

1. Take-or-pay contract for UPV steel and coal supply of 1,000–1,200 kt/year to remain in force
2. Acquirer assumes a regulated concession with expansion optionality

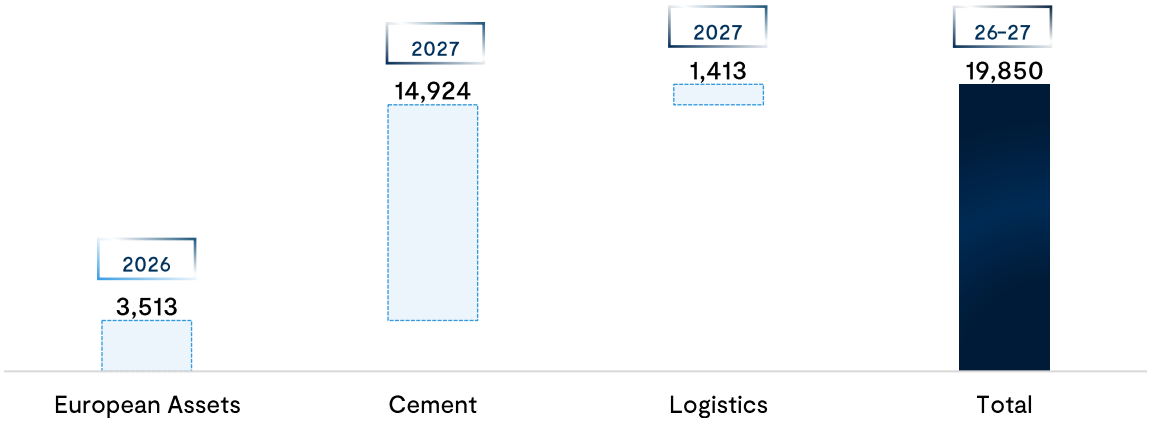
Sources: Bloomberg, COSCO, CSN, Hapag-Lloyd, Maersk

CSN's Capital Structure Post-InFinance Plan

Asset sales could materially reduce CSN's leverage, bringing its capital structure closer to peers and creating covenant headroom

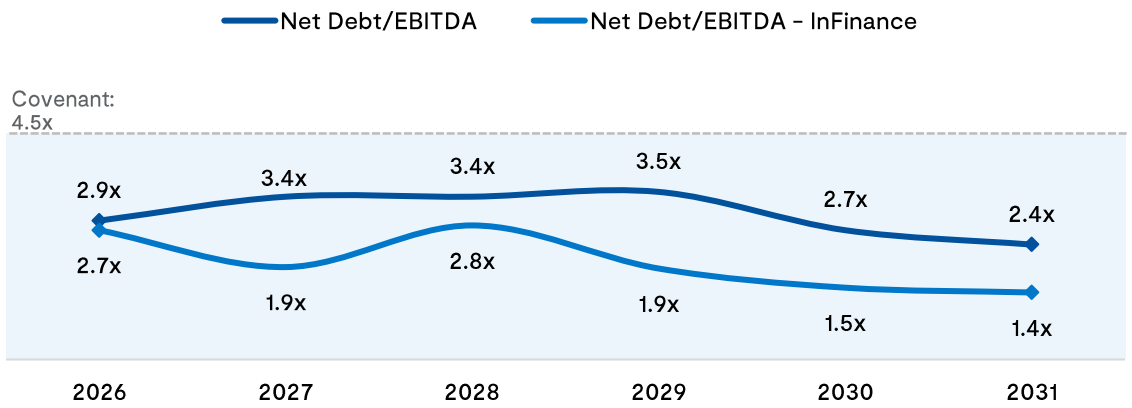
Cement sale is the cornerstone of CSN's deleveraging strategy

Divestments Breakdown (R$ mn)



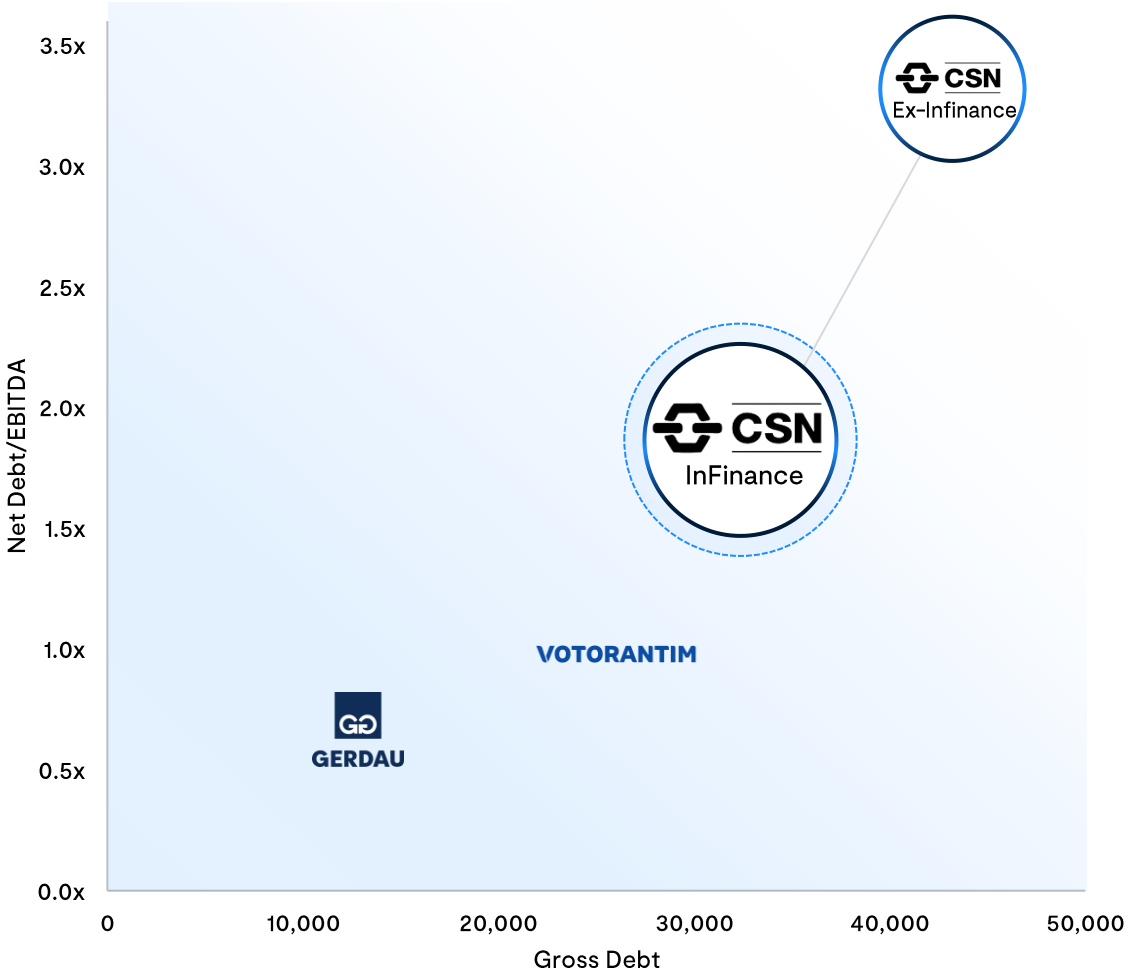
InFinance plan drives sustained deleveraging

Net Debt/EBITDA InFinance and Net Debt Ex-InFinance (x)



InFinance plan brings CSN's leverage closer to Brazilian industrial peers

Gross Debt (R$ mn) and Net Debt/EBITDA (x)



Sources: CSN, Gerdau, Votorantim

InFinance Capital Advisory's Deleveraging Plan for CSN

Four-Step Strategic Plan to Reduce Net Debt and Strengthen Credit Profile

1st Step	2nd Step	3rd Step	4th Step
Divestiture of European Steel Plants	*CSN Cimentos Sale to a Strategic Player*	*Logistics Restructuring and Asset Disposal*	*Tender Offer*
Limited synergies with CSN's core operations	Market entry for a consolidating player	MRS intercompany transaction	Funded by asset sales and MRS cash upstream
Greater fit for a European steel player	Synergistic bolt-on for a cement producer	TECON sale to a strategic buyer	CSN repurchases debt securities below par
R$ 3,153 mn	R$ 14,924 mn	R$ 3,325 mn	R$ 4,251 mn
6.6% of Gross Debt	28.2% of Gross Debt	6.3% of Gross Debt	8.0% of Gross Debt
Assets EBITDA: R$ 609 mn	CSN Cimentos EBITDA: R$ 1,795 mn	TECON | MRS EBITDA: R$ 4,546 mn	Average Tender Price: 67.4%

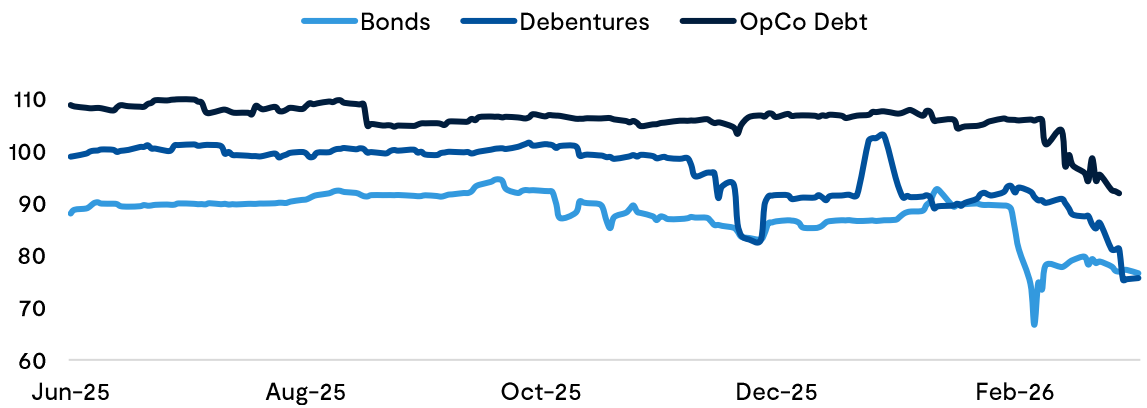
Sources: CSN

Tender Offer Opportunity from Distressed Debt Pricing

Recent sell-off across CSN's capital structure creates a window to repurchase selected securities below par

Debt across the capital structure has sold off on recent news

Price of Publicly Traded Debt (% of Par)



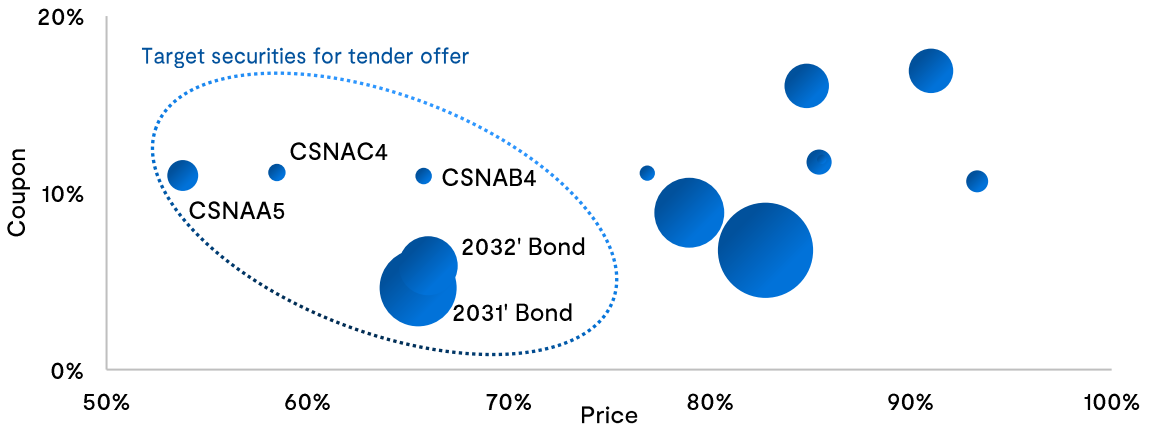
Unsecured liabilities dominate CSN HoldCo debt structure

CSN Holding Creditor Waterfall (R$ mn)

Class/Item	Face Value	Payment Priority
Extraconcursal	846	Not subject to RJ; paid
Lease Liabilities	846	outside the waterfall
Priority	1,142	1st priority; labor capped at
Labor	381	150 min. wages per creditor
Tax	761	
Unsecured Claims	48,163	2nd priority; pro rata
Unsecured debt	37,126	after senior classes
Other liabilities	11,037	

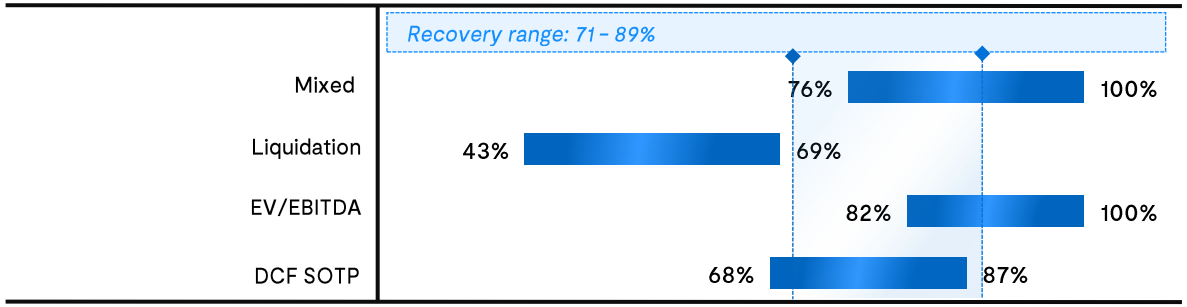
Target securities trade below recovery range, validating the tender offer

Yearly Coupon (%) & Price as % of Par



Recovery analysis points to a 71-89% range for unsecured claims

Football Field of Unsecured Claims Recovery Value (% of Par)



Commentary

- Mixed: Subsidiaries valued on a going-concern basis; HoldCo assets liquidated
- Liquidation: Full liquidation assumed across both OpCos and HoldCo

Sources: Bloomberg, CSN

Tender Offer Captures Discount and Reduces Net Leverage

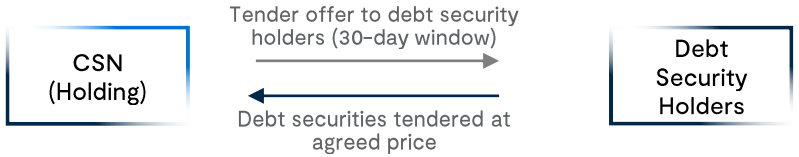
A targeted tender offer on selected debt securities retires obligations below par, reducing gross debt and unlocking equity value

The tender prioritizes securities where repurchase is most attractive

Tender Offer Terms (R$ mn) and (% of Par)

Security	Face Value Tendered	Tender Consideration[1]	Early Bird Premium[2]	Total Consideration[3]
Senior Notes 2031	1,500	68	5	73
Senior Notes 2032	1,500	68	5	73
CSNAA5	724	60	5	65
CSNAC4	229	60	5	65
CSNAB4	206	63	5	68

Tender Offer Structure



Tender Offer Key Terms

The Tender Offer will remain open for 30 calendar days from the Announcement Date. Holders tendering within the first 10 calendar days will be eligible to receive the Early Tender Premium in addition to the Tender Offer Consideration.

(1) Percentage of par paid for securities validly tendered after the Early Tender Date but at or prior to the Expiration Date.

(2) Percentage of par paid for securities validly tendered at or prior to the Early Tender Date.

(3) Percentage of par paid for the 2031 Notes, 2032 Notes, CSNAA5, CSNAC4 and CSNAB4 validly tendered at or prior to the Early Tender Date. Includes the Tender Offer Consideration plus an Early Tender Premium of 5% of par.

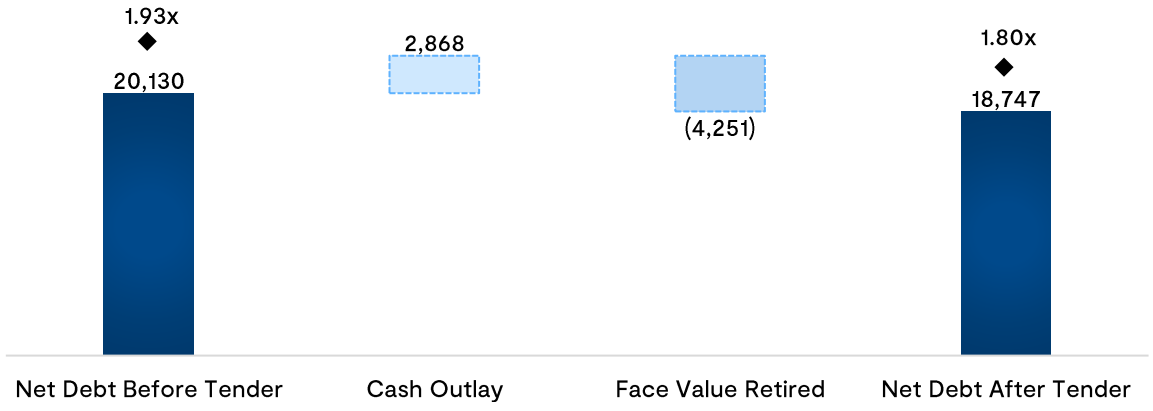
Base case assumptions yield ~R$1.4bn in net debt reduction

Net Debt Reduction Sensitivity (R$ mn): Tender Consideration vs. Early Bird Participation

Tender Consideration (%) \ Early Bird (%)	75%	50%	33%	25%	0%
55%	1,754	1,807	1,842	1,860	1,913
60%	1,541	1,594	1,630	1,647	1,700
66%	1,286	1,339	1,383	1,392	1,445
72%	1,031	1,084	1,119	1,137	1,190
77%	818	871	907	925	978

Debt retired below par reduces net leverage and unlocks equity value

Net Debt (R$ mn) & Net Debt/EBITDA (x) Before & After Tender



Sources: Anbima, CSN, Bloomberg,

CSN Equity Upside Post-Restructuring & InFinance Advisory Fee

Post-restructuring analysis implies a 35% equity upside, InFinance's advisory fee is contingent on transaction execution

CSN Current Price: R$ 6.58 | CSN Target Price Post-Restructuring: R$ 8.87

Transactions Overview

1st Step:

CSN divests its European steel plants to a strategic buyer, with proceeds used to partially amortize the bridge loan

2nd Step:

CSN Cimentos is sold to a strategic player, with proceeds used to fully amortize the bridge loan, fund the tender offer, and bolster cash reserves

3rd Step:

MRS upstreams cash to HoldCo and TECON is sold to a strategic buyer, with proceeds split between the tender offer and cash reserves

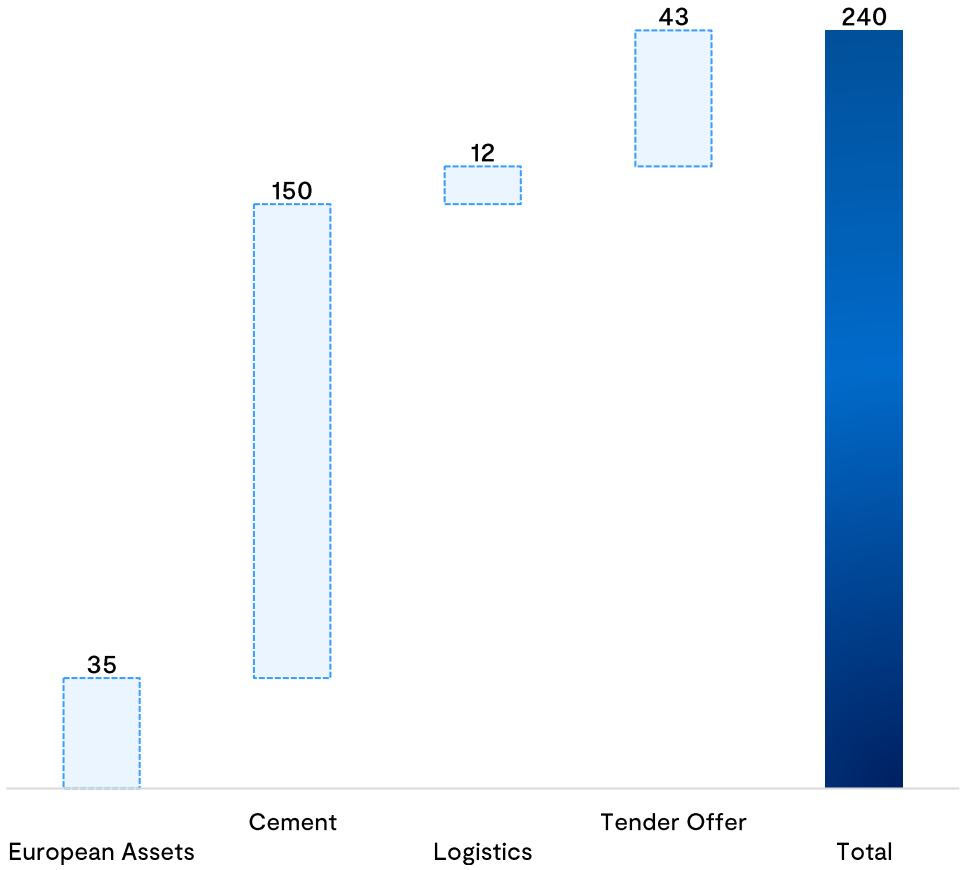
Tender Offer:

CSN repurchases bonds and debentures below par, capturing discount and reducing gross debt



InFinance Advisory Fee by Transaction (R$ mn)

InFinance charges a 1% advisory fee on each transaction executed



Sources: Bloomberg